

PORTUGAL

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Publication of Statutes and Regulations

Statutes, decrees, and other public notifications are published in the *Diário do Governo*.

The Charter of the Bank of Portugal, 1931¹

NOTE:—The Bank of Portugal (Banco de Portugal) was established by virtue of a Decree of November 19, 1846 and was originally governed by the provisions of this Decree and of the Law of November 26, 1846 confirming the Organic Law of the Bank of Portugal. The 1846 Decree and Law were designed to ensure, or at least to strengthen, the Bank's exclusive right to issue notes. However, the note issue monopoly of the Bank was clearly set forth for the first time in paragraph 12 of the contract between the Board of Directors of the Bank and the Government, dated December 10, 1887. From 1887 to 1931, a Charter was in force which had been drawn up in accordance with the Law of July 29, 1887 and related Decrees of December 3, 1891 and July 16, 1906. The Bank is at present governed by the Charter of June 30, 1931, as amended.

CHAPTER I. FOUNDATION, HEADQUARTERS, PURPOSES, DURATION AND LIQUIDATION OF THE BANK

Art. 1. The Bank of Portugal, retaining the same name, shall continue its legal existence in the form of a joint-stock company with limited liability for an indeterminate period of time and shall henceforth be governed by the Charter approved by Decree No. 19962 of June 29, 1931 and amended by decisions of the Extraordinary General Meetings approved by Decrees No. 26476 of March 30, 1936, No. 29959 of October 7, 1939, No. 35575 of April 3, 1946, No. 37535 of August 31, 1949, No. 38478 of October 29, 1951, No. 43242 of October 18, 1960, No. 43342 of November 22, 1960 and No. 44432 of June 29, 1962.

Art. 2. The Bank shall have its head office in Lisbon and branches or agencies in all capitals of administrative districts in metropolitan Portugal.

Par. 1. It may have branches, agencies or correspondents in other localities where they are recognized as useful, as well as delegations from its head office to the Council of Lisbon and correspondents abroad.

¹ Estatutos do Banco de Portugal. As amended through July 31, 1966. For a consolidated version in Portuguese embodying the original document of June 30, 1931 and all amendments made through 1962, see the pamphlet edition published by the Bank of Portugal, entitled *Estatutos do Banco de Portugal* (Lisbon, 1963), on which the translation given here is based.

Par. 2. The opening of branches and agencies as provided in the foregoing paragraph shall require the authorization of the Minister of Finance.

Art. 3. The Bank of Portugal, during the thirty years from July 1, 1961 through June 30, 1991, shall retain the privilege granted it by the contract of December 10, 1887 and successively maintained or renewed by the contracts of December 4, 1891, April 29, 1918, June 29, 1931, June 28, 1961 and the contract authorized by Decree-Law No. 44432 of June 29, 1962.

Sole Paragraph. Should the privilege cease to exist before the debts of the State are paid in full, the State shall be obligated to repay the Bank, on that date, the amount owed to it.

Art. 4. The Bank of Portugal, during this extension of its privilege and thus through June 30, 1991, shall exercise in metropolitan Portugal the functions of bank of issue, central bank and reserve bank, and those of general cash department of the Treasury and central exchequer of the Treasury in the administrative districts, in accordance with such legal, contractual and statutory regulations as govern or may in future govern its privilege and functions.

Sole Paragraph. In order to fulfill the obligation thus assumed, the Bank of Portugal shall ensure the regularity and continuity of the note issue as a public service and shall exercise the functions of banker of the State; and, under the guidance of the Minister of Finance, shall:

1. Promote the coordination of the money supply with the requirements of economic activity;
2. Regulate the functioning of the money market;
3. Ensure settlement of the exchange operations required by the national economy, under the applicable legislation and regulations and the clearing agreements and bilateral and multilateral payments agreements signed by the Government, or by the Bank with authorization from the Government;
4. Act as lender to the banking system.

Art. 5. If, before the end of the period referred to in Article 4, losses should occur which reduce the paid-up capital to three fourths of the former amount, and if the General Meeting of Shareholders does not immediately replenish such capital by new subscriptions, the Bank shall be dissolved by decree of the Government, with the consent of the Office of the Attorney General of the Republic, and consequently liquidated.

Art. 6. If the Bank is liquidated, its assets and liabilities shall be appraised by three experts, one appointed by the Government, one by the Bank, and one by agreement between the Government and the Bank. The nominal value of the shares shall be delivered to the shareholders and the excess shall be divided in the proportion of one third for them and two thirds for the State.

CHAPTER II. CAPITAL AND RESERVES

Art. 7. The capital stock of the Bank of Portugal shall be increased to two hundred thousand *contos*, in shares of one *conto* each.²

Par. 1. The present shares shall be replaced by new ones in the proportion of one old to one new share.

Par. 2. This exchange shall take place over a period of eighteen months from the effective date of the present Charter, except in the case of *force majeure* duly proved by the shareholder.

Par. 3. If the exchange is not made because present shares are not submitted, a corresponding amount of new shares shall be offered to the public in the name and for the account of the shareholder and subject to such conditions as may be prescribed by the Bank.

Art. 8. The issues required to carry out the capital increase provided for in Article 7 may be made in one or more series of shares, by agreement with the Government, it being incumbent on the General Council of the Bank to establish the price and other conditions governing the offer to the public of the shares to be issued.

Sole Paragraph. The shares to be issued, insofar as they exceed the quantity needed to replace old shares, shall be registered.

Art. 9. Preference in acquiring shares issued under Article 8 shall be given to shareholders of the Bank in relation to the nominal value and proportion of shares which they hold, and no shareholder shall, in the exercise of this right of preference, acquire a number of shares larger than that proportionally due him.

Par. 1. This Article shall be applicable to the entities and institutions referred to in Article 12 of this Charter and Article 19 of Decree-Law No. 42641 of November 12, 1959.³

Par. 2. If the ownership of shares is divided into usufruct and property rights, the right of preference shall also be divided: half for the holder of the usufruct and half for the holder of the property rights.

Par. 3. The Bank shall negotiate the new shares in respect of which the right of preference was not exercised.

Art. 10. The possession of a share entails compliance with the Charter and with the decisions regularly and legally taken by the General Meeting, and each share shall be entitled to a proportional and equal part in the ownership of the assets and the distribution of the profits.

Art. 11. The liability of a shareholder shall be limited to the face value of the shares he holds.

² One *conto* equals one thousand escudos.

³ Art. 19 of the 1959 Decree-Law is summarized below, pp. 589-590.

Art. 12. State and local independent agencies and establishments under State control shall not be allowed to acquire shares in the Bank, directly or indirectly.

Par. 1. Shares in the Bank that are held by the State on the effective date of the present Charter shall be disposed of as provided in Article 11(1) of Decree No. 19870 of June 9, 1931, without prejudice to the State's representation at the Bank's General Meeting, in consideration of Decree No. 12251 of August 30, 1926.

Par. 2. Local independent agencies and public establishments and establishments in the public service that are now shareholders in the Bank of Portugal may retain the shares they hold, but the number of votes of each such body shall not exceed ten, whatever the number of shares held. These establishments may be represented at the Bank's General Meeting by the Treasury, even if it is not a shareholder in the Bank.

Art. 13. There may be certificates of one, five and ten shares.

Par. 1. Of the total shares, sixty per cent must be represented by shares registered in the names of individuals or companies of Portuguese nationality or in the names of Portuguese private or public entities, as referred to in Part II of Law No. 1994 of April 13, 1943.

Par. 2. The provisions of Part IV of Law No. 1994 shall be observed in the transfer of shares.

Par. 3. Registered shares may be invested in bearer shares and vice versa, at the choice of the shareholders, but without prejudice to the provisions of the foregoing paragraphs.

Art. 14. Ownership of registered shares shall be transferred by any method of transfer permitted by law. Ownership of bearer shares shall be transferred by simple delivery of the certificate.

Sole Paragraph. If a share or certificate is owned by two or more persons, they may receive the dividends jointly; but to exercise the other rights of shareholders they shall designate and cause to be registered only one of them as such.

Art. 15. The Bank of Portugal shall have two reserve funds:

1. A legal reserve, which may be as large an amount as the capital of the Bank, formed by the accrual of five per cent of the disposable annual profits and designed to constitute a supplementary capital. The value of the present general reserve fund, which shall be discontinued, shall be transferred to the legal reserve.
2. A special reserve, without limitation, which exists at present on the books of the Bank and which shall be formed by:
 - (a) Ten per cent of the total disposable annual profits;
 - (b) The amount of the total disposable annual profits belonging to the Bank under the last part of Article 37, item 5, that is transferred to this reserve by decision of the General Meeting on the

proposal of the General Council. This reserve shall continue to be used, as hitherto, to cover all depreciation of assets not shown in the annual profit and loss account and also to ensure a minimum dividend of six per cent for distribution as return on capital.

Sole Paragraph. Independently of these reserve funds, the Bank of Portugal, in entering its assets and liabilities on the books and drawing up the balance sheets, shall observe the rules of administrative prudence which govern the formation of reserves, as referred to in Article 74 of Decree-Law No. 42641 of November 12, 1959,⁴ and the principles of proper protection of the currency and credit.

Art. 16. Neither the legal nor the special reserve shall be shown as constituting a part of the Bank's assets, and their yield shall be shown in the profit and loss account.

CHAPTER III. PRIVILEGES OF THE BANK AND NOTE ISSUE

Art. 17. The notes issued by the Bank of Portugal shall continue to represent gold currency, to be legal tender without limitation throughout the territory of metropolitan Portugal and to enjoy exemption from the stamp tax and any other taxes.

Art. 18. The privilege granted to the Bank of Portugal shall obligate the State to protect the rights of the Bank and the exercise of the issue function and, specifically:

1. To grant to no other enterprise or institution the right to issue notes in metropolitan Portugal;
2. Not to issue or reissue, itself, notes of any kind, except for its right to issue fractional currency;
3. To put into circulation only through the Bank of Portugal, and at its request, the fractional currency referred to in item 2 above.

Art. 19. Liability for the note issue of the Bank of Portugal shall be that of the Bank alone.

Art. 20. The Bank of Portugal shall undertake to redeem notes, when requested by the holders, in specie or foreign gold currency, at the option of the Bank, and to buy all coined or bar gold offered it, all in accordance with Art. 1 of Decree No. 19869 of June 9, 1931.

Par. 1. The convertibility of the notes of the Bank shall be unlimited as to quantity, but the Bank shall not be required to exchange for gold amounts of less than two hundred *contos* [200,000 escudos].

Par. 2. The sale of foreign exchange shall be effected at a price that shall not exceed theoretical parity in the relation established in Art. 1 of

⁴ Art. 74 of the 1959 Decree-Law is summarized below, pp. 593-594.

Decree No. 19869 of June 9, 1931, plus the costs of shipping the gold. The basis shall be the rate in London, and the Bank shall publish in the *Diário do Governo* the quotations (gold points) thus determined at which it will deal in gold currency.

Art. 21. The Bank may issue notes in denominations of twenty escudos, fifty escudos, one hundred escudos, five hundred escudos and one thousand escudos.

Par. 1. With the approval of the Government, the Bank may create other types of notes or new plates for existing ones.

Par. 2. Before issuing any new plate or new type of note, the Bank shall submit a description thereof to the Minister of Finance, who shall publish it in the *Diário do Governo*.

Art. 22. The fractional currency in denominations of two and a half escudos, five escudos, ten escudos and twenty escudos, and of ten centavos, twenty centavos, fifty centavos and one escudo, shall be manufactured and issued by the State.

Sole Paragraph. The amount to be issued of currency referred to in this Article shall be determined by agreement between the State and the Bank, in accordance with the requirements of the national economy.

Art. 23. The Bank shall exchange its notes at its head office, branches and agencies for its notes of other nominal values or for fractional currency, to such amount as it considers necessary for the money supply.

In places where it has no agencies, the Bank, by agreement with the Government, shall facilitate the exchange of its notes through the offices of the Treasury.

Sole Paragraph. At branches and agencies in continental Portugal and the adjacent islands, however, the Bank shall not be obligated to exchange more than a certain total of notes each day and may postpone the exchange of a larger quantity until those branches and agencies receive the necessary supplies for exchange.

A table showing the maximum total of notes and the period of postponement, in accordance with transportation conditions for each branch and agency, shall be prepared by agreement between the Government and the Bank, but such period may not exceed four days nor such amount be less than twenty thousand escudos in continental Portugal.

Art. 24. When notes of any kind or made from any plate are withdrawn from circulation, the Board of Directors of the Bank shall set and publicly announce the period during which they are to be exchanged.

At the end of this period the said notes shall cease to be legal tender, but the Bank shall continue to be obligated to receive them at any time, for its own account or for the account of the State, in accordance with Article 25.

Art. 25. Ten years from the end of the period set for the withdrawal from circulation of notes of any kind or made from any plate, the Bank shall deduct from the amount of the money supply and credit to the account of the Treasury the amount of such notes not collected.

As these notes are presented for exchange or redemption, the Treasury shall assume responsibility for their payment, for which purpose the Bank shall present to the Treasury a warranted list of the notes.

Sole Paragraph. On July 1, 1931 action shall be taken in conformity with the first part of this Article in connection with the amount representing notes withdrawn from circulation by public notice the period of which expired on or before June 30, 1921.

CHAPTER IV. RESERVES FOR CURRENCY IN CIRCULATION

Art. 26. The Bank shall maintain a reserve equal to at least fifty per cent of the amount of notes in circulation and other sight liabilities.

Sole Paragraph. Notes in circulation are those issued and delivered to the public by the Bank and still held by the public.

Art. 27. The reserve referred to in Article 26 shall consist only of:

- (a) Coined and bar gold;
- (b) Balances with first-class banks domiciled abroad, payable at sight or within ninety days;
- (c) Sight checks and payment orders issued by bodies of recognized credit standing on first-class banks domiciled abroad;
- (d) Bills in portfolio accepted by first-class banks domiciled abroad, payable within one hundred and eighty days;
- (e) Treasury notes or other similar obligations of foreign States at terms of not more than ninety days.

Par. 1. In this reserve, twenty-five per cent of the note circulation and other sight liabilities shall always be represented by coined or bar gold.

Par. 2. The items referred to in (b), (c), (d) and (e) of this Article shall be payable in foreign currency directly convertible into gold; in the currencies of member countries of the International Monetary Fund to which Article VIII, Section 4, of the Fund Agreement is applicable; in foreign exchange having a special guarantee of the gold value and of redemption in gold; or in units of account used in international clearing, provided that such units are defined in terms of a specific weight of gold and are redeemable or eligible for settlement in gold or in any of the currencies referred to above.

Par. 3. The General Council of the Bank shall determine, in accordance with economic and financial circumstances, which of the currencies, foreign exchange and units of account that meet the criteria indicated in paragraph 2 are to be given preferential status for purposes of inclusion in this reserve of the items listed in that paragraph.

Par. 4. Temporarily, until repayment is completed, items of the nature of those mentioned in (b) and (e) of this Article now held by the Bank may continue to be counted in the reserve even if their maturity exceeds that specified.

Art. 28. Obligations and liabilities of the Bank payable in not more than one hundred and eighty days, expressed in foreign currency or in units of account used in international clearing, shall be deducted in calculating the amount of the reserve.

Art. 29. That part of the note circulation and other sight liabilities that is in excess of the amount representing the value of the reserve referred to in Article 26 shall be fully guaranteed by the following:

- (a) Coined or bar gold, balances in foreign currency or units of account, foreign exchange and securities of foreign States not included in the reserve in question;
- (b) Credits arising from the operations allowed under Article 30, item 11, of this Charter;
- (c) Portuguese public debt securities now held by the Bank to replace those delivered to it under Clause 8(1) of the contract of June 29, 1931;
- (d) The temporary balance of the free current account opened by the Bank for the State under Article 41;
- (e) National development bonds issued under Decree-Law No. 38415 of September 10, 1951 and Decree-Law No. 42946 of April 27, 1960 which the Bank has acquired from third persons or direct from the State, but only to the limits set in those Decree-Laws and in the contracts signed with the State, the maturity of these securities being not more than five years;
- (f) The Bank's commercial portfolio;
- (g) Credits arising from loans secured by commercial bills or securities of the Portuguese State granted under this Charter to the credit institutions referred to in Article 2(a), (c) and (d) and the paragraphs thereof of Decree-Law No. 42641 of November 12, 1959;⁶
- (h) Fractional currency acquired by the Bank;
- (i) Checks in escudos which the Bank owns and holds, the honoring of which requires presentation for payment.

Par. 1. The credits referred to in (b) of this Article, when expressed in gold, shall be entered on the books at the value corresponding to the amount of gold delivered by the Bank for the account and to the order of the State, according to the basic price of gold as derived from the fol-

⁶ Summarized below, p. 588.

lowing relationships: 28.75 escudos are equal to 1 U.S. dollar of the weight and fineness in effect on July 1, 1944, and 1 troy ounce is equal to 35 U.S. dollars.

Par. 2. The State shall deliver to the Bank, by December 31 of each year, the amount of two thousand five hundred *contos* [2,500,000 escudos], which shall be credited on the Bank's books to a special account designed to permit the State to acquire, annually and gradually, the securities referred to in (c) of this Article, to a maximum equal to the balance of the account and at the average quotation for operations effected during the year on the Lisbon Exchange.

Par. 3. The items referred to in this Article shall include:

- Credits arising from the intervention of the Bank, in its capacity as bank of issue for continental Portugal and the adjacent islands, in payment operations between those territories and the overseas provinces, provided for and regulated by contract signed between the State and the Bank for the execution of the clearing and interterritorial payments system introduced by Decree-Law No. 44703 of November 17, 1962;
- Bonds issued by the Escudo Area Monetary Fund under Decree-Law No. 44703 of November 17, 1962 for payment of the capital of that fund, and acquired by the Bank of Portugal as agreed by contract between the State and the Bank.

CHAPTER V. OPERATIONS OF THE BANK

Art. 30. The Bank may carry out the following operations:

1. Discount:

- (a) Bills, extracts of invoices, warrants, and other similar documents relating to commercial transactions;
- (b) Drafts and promissory notes guaranteed by pledges of stocks or bonds quoted on the Lisbon or the Oporto Exchange;
- (c) Treasury notes of the Portuguese State at not more than ninety days;
- (d) National development bonds issued under Decree-Law No. 38415 of September 10, 1951 with maturities of not more than five years.

2. Buy or sell:

- (a) Bar or coined gold;
- (b) Foreign exchange;
- (c) Securities of the Portuguese State;
- (d) National development bonds issued under Decree-Law No. 42946 of April 27, 1960 with maturities of not more than five years.

3. Grant, for commercial purposes and for periods of not more than one hundred and eighty days, loans secured by:

- (a) Gold, whether coined or not;

- (b) Foreign exchange;
 - (c) Securities of the Portuguese State;
 - (d) Securities of foreign States quoted on the exchanges of the principal financial markets;
 - (e) Bills and payment orders payable in Portugal or abroad in Portuguese or foreign currency.
4. Sign on its own behalf, in the name of the State, or for the account and by order of the State, clearing and payments agreements and contracts with similar public or private establishments domiciled abroad to facilitate the carrying out of the operations referred to in item 2 (a) and (b), above; such agreements and contracts may involve the obtaining or granting of credit within certain limits of time or value, and the security, when it is necessary to stipulate it, may be restricted to guaranteeing the Bank against exchange risks. It may also effect, with the above establishments or with international institutions, any exchange and other operations necessary for compliance with the obligations arising either from the said agreements and contracts or from other similar ones concluded directly by the State.
 5. Grant credits in Portugal and abroad in accordance with banking usage and practice or by special order.
 6. Effect, for the account of others, not only collections, payments and transfers of securities or cash but also any other banking operations not expressly prohibited in this Charter.
 7. Accept sight deposits on current account.
 8. Receive and keep on deposit jewelry, precious metals and objects, credit instruments and other securities and documents representing value.
 9. Take charge of the collection of receipts and the payment of obligations of the State and of other public-law entities, as well as any operations of the Treasury, in Portugal and abroad, all in accordance with the agreements and contracts signed for the purpose between the Bank and the State or other interested public-law entities.
 10. Carry out, with the credit institutions referred to in Decree-Law No. 42641 of November 12, 1959, Article 2(a), (c) and (d) and its paragraphs,⁶ operations for lending money and opening credits, the latter being on current account, with securities of the Portuguese State as guarantee.
 11. Ensure, through appropriate credit operations previously approved by the General Council and by the ordinary General Meeting convened on an extraordinary basis at the request of the Governor,⁷

⁶ Summarized below, p. 588.

⁷ See Art. 100, below.

the means necessary for the participation accepted by the State in the capital of international organizations designed to facilitate clearing and payments between countries that define their currencies in terms of gold.

Par. 1. The Bank of Portugal, in the exercise of its function as regulator of the money market, shall, by express agreement with the Minister of Finance and in accordance with the country's economic and financial position, set limits on direct discounts to be made by the Bank in Lisbon and Oporto, which limits shall not include bank acceptances held by the Bank for discount.

Par. 2. The operations authorized in item 1(c) and item 2(c) of this Article, as regards Treasury notes, shall not exceed the limit of five hundred thousand *contos* [500,000,000 escudos] set in Article 41, less the amount of drawings by the State on the account to which that Article refers.

Par. 3. The total amount of bonds discounted under item 1(d) of this Article shall at no time exceed the limit of five hundred thousand *contos* [500,000,000 escudos] and shall not be counted in the limit on direct discounts referred to in paragraph 1 of this Article.

Par. 4. The total amount of national development bonds acquired under item 2(d) of this Article shall at no time exceed the limits agreed between the State and the Bank under Articles 5 and 11 of Decree-Law No. 42946 of April 27, 1960.

Par. 5. The operations referred to in items 3 and 10 of this Article shall require the decision of the General Council of the Bank, which shall determine, for each institution involved in the operations, the maximum amount, in accordance with the position of the money market, to which loans or credits may be granted and shall define the legal regime for such operations.

Par. 6. In conformity with the contracts signed with the State with the prior authorization of the ordinary General Meeting convened in extraordinary session at the request of the Governor, the Bank may, under the guidance of the Minister of Finance and in accordance with the law, exercise the functions of central bank and reserve bank of the escudo area according to the legal system laid down in Decree-Laws No. 44016 of November 8, 1961 and No. 44698, No. 44699, No. 44700, No. 44701, No. 44702 and No. 44703 of November 17, 1962, and participate, as bank of issue of continental Portugal and the adjacent islands, in the execution of the system of clearing and interterritorial payments introduced by the last-named of the above Decree-Laws, also when such participation involves the granting or obtaining of credit within certain limits as to time and value, and likewise perform, under the same contracts, the functions of:

- Agent of the said system of clearing and interterritorial payments;
- Agent of the Escudo Area Monetary Fund referred to in Decree-Law No. 44016 and established by Decree-Law No. 44703;
- Depository of the said Fund.

Par. 7. Also in accordance with the contracts referred to in the foregoing paragraph, the Bank may acquire bonds issued by the Escudo Area Monetary Fund for payment of its capital.

Art. 31. The Bank shall be authorized to rediscount abroad or to give its commercial portfolio, its portfolio of securities, or its portfolio of notes and gold bills as guarantee, to obtain the credits referred to in Article 30, item 4.

Art. 32. It shall be the duty of the Board of Directors to set the regulatory interest rate on operations.

Sole Paragraph. The rate, which shall be the same at the head office of the Bank and at its Oporto branch, may differ by one-half per cent at other branches and agencies but in any case shall be uniform for all such other branches and agencies.

Art. 33. The Bank shall continue to be authorized to establish any interest rates below the regulatory rate, according to the nature and category of the operations.

Art. 34. The Bank may not carry out the following operations:

- (a) Buy stock in the Bank for its own account;
- (b) Rediscount in Portugal bills or other similar securities belonging to its commercial portfolio;
- (c) Deal in securities on the Exchange that cannot be liquidated immediately, or deal for the account of others;
- (d) Credit interest for cash received on current account, except in cases of reciprocity based on contracts signed with similar public or private establishments domiciled abroad; cases of express stipulation in clearing or payments agreements signed by the State, or by the Bank for itself, in the name of the State or for the account and by order of the State; and cases of credit from international monetary institutions when the crediting of interest is specified in the articles of the said institutions;
- (e) Promote or participate in the creation of commercial enterprises, whether banking enterprises or others, except in the cases specially provided for in this Charter;
- (f) Enter into risk or insurance business [*Empreender negociações de risco ou de seguro*];
- (g) Buy and sell commercial goods for its own account;
- (h) Own real property or the rights to real property, other than the real estate necessary for the performance of its functions, except for

purposes of conveyance or auction or to ensure the repayment of credits, in which cases the property shall be liquidated as soon as possible;

- (i) Draw or accept escudo bills not payable at sight;
- (j) Grant, directly or indirectly, loans to the State or to other public-law entities or offer any form of guarantee of credit operations effected by them, except in the conditions and cases provided for in Article 30, items 1(d), 2(d) and 11, and in Article 41;
- (k) Grant credits without security or with guarantees rendered contrary to the provisions of this Charter.

Sole Paragraph. The prohibition in (j) and (k) of this Article shall not be applicable to operations or acts covered by Article 30, paragraphs 6 and 7.

Art. 35. The Bank may participate, or maintain its present participation, in the capital of the investment banks referred to in Article 2, paragraph 2, of Decree-Law No. 42641 of November 12, 1959,⁸ or of foreign or international establishments and organizations, and, in due accord with the terms of this Charter, exercise in any of them any positions in the management, board of auditors or general meeting.

CHAPTER VI. OBLIGATORY PUBLICATIONS

Art. 36. The Bank shall send to the Government for immediate publication in the *Diário do Governo*:

- (a) Weekly, a summary statement of the Bank's assets and liabilities showing the items forming the reserve under Article 13 of Decree No. 19870 of June 9, 1931, the amount of notes in circulation, and any sight liabilities;
- (b) Annually, the report of the Board of Directors with respect to the actions taken during the year, the accounts for the year and the balance sheet, after they have been discussed and approved by the General Meeting.

CHAPTER VII. BALANCE SHEET AND DIVIDENDS

Art. 37. At the end of each year the Bank's balance sheet shall be drawn up as of December 31.

The disposable annual profits shall be determined by deducting the following from the gross profits:

- (a) The amount of all administrative expenses and annual outlays;
- (b) The amount to be used for amortization of bad or doubtful debts, the depreciation of assets, and the reserve for other contingencies for which it is considered necessary to provide.

⁸ Summarized below, p. 588.

When these deductions have been made, the annual balance of the profit and loss account of the Bank shall be determined and shall be distributed in the following form and order:

1. Five per cent to the legal reserve until it equals the capital of the Bank;
2. Ten per cent to the special reserve, without limitation;
3. Five per cent for allowances and other aid to the staff of the Bank, with a minimum of one thousand *contos* [1,000,000 escudos];
4. A dividend of six per cent on the shares;
5. Eighty per cent of the remainder for the State, with a minimum of twelve thousand *contos* [12,000,000 escudos], and the remainder, after deduction of the amount necessary to increase the dividend to seven per cent, for distribution in equal parts between the State and the Bank.

Sole Paragraph. The Bank shall be exempt from any charge or tax on that part of the profits that belongs to the State.

Art. 38. A part of the shareholders' dividend shall be paid to them in July and the rest when the accounts for the fiscal year have been approved.

CHAPTER VIII. RELATIONS BETWEEN THE STATE AND THE BANK

Art. 39. In the exercise of the functions of general cash department of the Treasury and central exchequer of the Treasury in the administrative districts in metropolitan Portugal, both the head office of the Bank and its branches and agencies shall perform the functions proper to these public services, under the terms and within the scope defined in the contracts and agreements concluded for the purpose between the State and the Bank.

Art. 40. Receipts, expenditures and transfers of funds in metropolitan Portugal for account of the Treasury, at the head office and subsidiary offices of the Bank acting as general cash department of the Treasury, and at the head office and at branches and agencies in the capitals of administrative districts acting as central exchequer of the Treasury, shall be effected in accordance with the legal provisions applicable to the functioning of these public services.

Par. 1. The expenses of transferring funds in implementing the provisions of this Article shall be borne by the Bank.

Par. 2. The Directors of Finance in the capitals of the administrative districts shall examine, at the Bank's branches and agencies, the documents on operations of the State in their districts.

Par. 3. All accounts for which the Bank is responsible shall be processed at the Directorate-General of the Treasury and audited by the Central Audit Department.

Art. 41. The Bank of Portugal shall open for the State a free current account, the balance of which may not exceed five hundred thousand *contos* [500,000,000 escudos].

All drawings by the State on this account shall be made only on the basis of budgetary receipts for the current fiscal year and under Article 20 of Decree No. 19869 of June 9, 1931.

The total of Treasury notes held by the Bank of Portugal as a result of operations conducted under Article 30, item 1(c), shall be counted as utilization of this limit of five hundred thousand *contos* [500,000,000 escudos], and consequently deducted therefrom.

Art. 42. The Bank shall not make available to the State or to instrumentalities [*serviços dependentes*] of the State, directly or indirectly, in the form of loans or overdrafts, any amounts whatsoever, except in the conditions and cases provided for in Article 41 and in Article 30, items 1(d), 2(d) and 11.⁹

It shall not guarantee Treasury bills or other obligations of the State or of instrumentalities of the State, nor make payments for the account of the State for which the Bank does not have immediately available funds to the State's credit.

Sole Paragraph. The provisions of this Article shall not hinder the carrying out of any banking operations otherwise allowed by the present Charter between the Bank and the credit institutions of the State.

Art. 43. So long as its privilege to issue notes is effective, the Bank shall not be subject to any special regulations involving the limitation or alteration of the powers granted to the Bank, other than those provided in the present Charter.

CHAPTER IX. ADMINISTRATION

SECTION I. ORGANIZATIONAL PROVISIONS

Art. 44. The Bank shall be directed by the Governor, with the collaboration of the Deputy Governors; it shall be administered by the Board of Directors; and its accounts shall be audited by the Board of Auditors.

Art. 45. The General Council shall be formed by the meeting of the Board of Directors and the Board of Auditors, under the chairmanship of the Governor.

Art. 46. The Board of Directors shall be composed of eleven members, namely:

The Governor, who shall be chairman;

Two Deputy Governors for the State;

⁹ By virtue of an amendment authorized by Decree-Law No. 44814 of December 28, 1962 and by decision of the General Meeting at its sessions of December 21 and 27, 1962, the cases covered by Article 30, paragraphs 6 and 7, were added to these exceptions.

Eight Directors elected by the General Meeting, one of whom shall be Deputy Governor for the Bank.

Par. 1. Both the Governor and the Deputy Governors for the State shall be appointed from among persons of recognized competence and experience, according to legal terms and conditions.

Appointment shall be for five years, renewable one or more times.

Par. 2. The Directors shall be elected for four years, renewable one or more times. The terms of office of four Directors, however, shall end every two years.

Par. 3. The Deputy Governor for the Bank shall be elected by the General Council for two years, renewable one or more times.

Art. 47. The Board of Auditors shall be composed of four members elected by the General Meeting for four years, whose terms of office may be renewed one or more times for the same period. The terms of office of two members of the Board of Auditors, however, shall end every two years.

Art. 48. The terms of office of the Directors and of the members of the Board of Auditors shall end on December 31 of the last year of the four-year period, but shall continue until the session of the General Meeting which is to approve the accounts for the period and hold the necessary elections.

Art. 49. The Annual Reports of the Board of Directors shall indicate the names of the members whose terms of office have ended.

Art. 50. The Governor and the Deputy Governors for the State shall be Portuguese and shall draw the same salary as the Directors.

Art. 51. The Governor and the Deputy Governors for the State shall not be shareholders in the Bank, and they shall not be required to furnish security for the exercise of their offices.

Art. 52. The Deputy Governors shall assist the Governor generally and shall ensure, in particular, that those of their functions entrusted to them by him are carried out without prejudice, as regards the Deputy Governors for the State, to the other duties incumbent on them.

Art. 53. The Governor shall always be chairman of any committees formed by the General Council or the Board of Directors, and in either case may delegate this power to one of the Deputy Governors.

Art. 54. The Governor shall be replaced, when he is absent or unable to attend and when the position is vacant, in the following manner and order:

1. By the Deputy Governor for the State with the higher seniority and, all else being equal, the one who is older;
2. By the Deputy Governor for the Bank;
3. By the Director with the highest seniority and, all else being equal, the one who is oldest.

Art. 55. The salaries of the Directors and of the members of the Board of Auditors shall be fixed, excluding any participation in the annual profits, by a committee of three shareholders elected at the regular ordinary session of the General Meeting, one of them being the Chairman of the Meeting, who shall be chairman of the committee.

The committee shall meet whenever called by the chairman, but at least every four years.

Sole Paragraph. Salaries shall be paid monthly.

Art. 56. All shareholders of the Bank who meet the conditions laid down in Articles 57 and 60 may be elected Directors or members of the Board of Auditors, with the following exceptions:

1. Shareholders in the conditions referred to in Article 1 of Decree No. 15538 of June 1, 1928;
2. Managers or members of banking houses, or directors or members of the board of auditors, or managers of other banks and credit establishments.

Art. 57. Only a shareholder who is a Portuguese national by birth or naturalization and who holds fifty or more shares in the Bank that are free and unencumbered and registered or deposited in accordance with Article 95, item 1, may be elected a Director.

Art. 58. A Director entering on duty shall, on doing so, deposit as guarantee of his performance of his duties one hundred shares owned by him, free and unencumbered, which shall be made nontransferable by entry on the shares themselves and which shall not be returned until the General Meeting has approved the balance sheet and accounts for the Director's last fiscal year.

Art. 59. Vacancies occurring in the Board of Directors shall be filled, until the first ordinary General Meeting fills them definitively, by shareholders designated by the General Council of the Bank.

Par. 1. The same procedure shall be followed if any Director is unable to perform his duties for more than sixty days, without prejudice to the period of validity of the term of office of such Director.

Par. 2. The ordinary General Meeting may fill vacancies on a final basis that have been filled by shareholders designated by the General Council under this Article without reference to the period of time referred to in Article 95, item 1, mentioned at the end of Article 57.

Art. 60. Only a shareholder who is Portuguese by birth or naturalization and who holds fifty or more shares in the Bank, free and unencumbered and registered or deposited in accordance with Article 95, item 1, may be elected a member of the Board of Auditors.

Art. 61. Members of the Board of Auditors entering on duty shall be governed by all the provisions of Article 58, the guarantee deposit, however, being limited to a minimum of fifty shares.

Art. 62. The provisions of Article 59 shall be applicable to the Board of Auditors.

Sole Paragraph. Terms of office currently being served by substitute members shall be extended to the first ordinary General Meeting.

Art. 63. The following may not be members of the General Council of the Bank at the same time:

1. Two or more members of a commercial firm or two or more managers of a commercial firm or any joint-stock company;
2. Fathers and sons, brothers, uncles and nephews, brothers-in-law, fathers-in-law and sons-in-law, stepfathers and stepsons.

Art. 64. No member of the General Council of the Bank may carry out any operation individually at the Bank. No such member may take part in votes on motions concerning any operation involving enterprises or commercial companies in which he has an interest, or of which the manager or a member of the firm is a person related to the Council member as specified in Article 63.

Art. 65. The liability of the Governor, the Deputy Governors, the Directors and the members of the Board of Auditors shall be prescribed in their contracts of appointment.

Par. 1. The term of office of Directors and members of the Board of Auditors shall always be revocable when the General Meeting considers it advisable.

Par. 2. The liability of the Governor and the Deputy Governors for the State shall also be regulated by the applicable part of the legislation governing them specifically.

SECTION II. THE GOVERNOR

Art. 66. The Governor shall have the following powers:

1. To represent the Bank in all judicial and extrajudicial acts;
2. To supervise the activities of the Bank, preside over its administration and follow the day-to-day business activities;

3. To supervise the services and the staff of the Bank;
4. To see that the legislation and regulations governing the operation of the Bank are complied with;
5. To propose to the General Council or to the Board of Directors any changes in the internal administration of the Bank or any measures in connection with such administration as he may find advisable for the conduct of operations or to increase the efficiency of the Bank's services;
6. To initial the books, with the exception of the minute book;¹⁰
7. To have the General Meeting convened by the Chairman of the Meeting, specifically for the purpose of submitting to it the plan for carrying out operations previously approved by the General Council, in cases where the decision of the General Meeting is required under this Charter;
8. To direct the work of the General Council and the Board of Directors, presiding over their meetings and convening meetings not required under this Charter whenever he considers it necessary and urgent for the Bank's operation;
9. To obtain compliance with the decisions of the General Meeting, the General Council and the Board of Directors, except as provided in Article 67;
10. To represent the Bank in all cases referred to in Article 35, being authorized, however, to delegate such representation to the Deputy Governors or the Directors;
11. To participate in all acts that fall within his competence by express or implied indication in this Charter and the administrative regulations, and to supervise all matters related to the interests of the Bank and its general business, as well as to do all else specially incumbent on him by legal or contractual disposition, furnishing the Government, when he considers it advisable, with reports and information concerning the functioning of the money and exchange markets and the activity of the Bank on those markets.

Art. 67. The Governor, or his substitute, shall always have the deciding vote at the meetings or sessions over which he presides; and he may suspend implementation of the decisions of the Board of Directors in order to submit them to the General Council, convened in urgent session, and, communicating such action to the Government, suspend all decisions of the Board and of the Council that in his opinion are manifestly contrary to the law, the present Charter, or the interests of the State.

This last suspension shall be considered revoked if the Governor has not acted on it within two weeks from its date.

¹⁰ See, however, the second sentence of Art. 72, below.

SECTION III. BOARD OF DIRECTORS

Art. 68. The Board of Directors shall supervise and direct all of the general business of the Bank, under the Charter and the regulations, the following being particularly within its competence and power:

1. To carry on all operations authorized by this Charter, in accordance with the applicable regulations and within the limits allowed by prudence and good administration;
2. To fix the conditions governing operations within the competence of the Bank and the limits on credit to its customers when such credit is not more than two thousand *contos* [2,000,000 escudos];
3. To control and supervise all Bank services;
4. To assist in handling the operations of the Bank, responsibility for this duty being distributed according to the internal regulations;
5. To appoint and dismiss correspondents and employees and to approve all security offered the Bank under the regulations;
6. To direct and check on the operations of branches and agencies and to visit them in turn, the visits being made by one or more Directors or by delegates enjoying the full confidence of the Board of Directors, and to keep the necessary check on the business of correspondents;
7. To prepare, for submission to the General Council of the Bank, the regulations for branches and agencies, the administrative regulations, and any other regulations necessary for the operation of the Bank;
8. To furnish the Board of Auditors with all business documents requested by them for examination of the Bank's position;
9. To submit to the General Council of the Bank any proposals concerning the opening, changing, or closing of branches, agencies, correspondents and delegations from the head office to the Council of Lisbon;
10. To propose to the General Council all matters which the Board considers conducive to the furtherance and security of operations, and particularly matters related to the opening or changing of branches;
11. To submit accounts annually to the ordinary General Meeting and to propose, in conformity with the decision of the General Council, the dividend and the distribution of excess profits, under Article 37;
12. To convene the General Meeting for the purposes designated in Article 37 and Article 100, items 4 and 5; to submit for the

decision of the General Council matters within its competence and all other matters on which no rules have been established; and to deal, finally, with everything related to the economic activity of the Bank, observing and causing to be observed the Charter, the regulations, the decisions of the General Meeting, the General Council and the Bank's Stabilization Committee, and the Board's own decisions.

Art. 69. Whenever it is necessary in urgent circumstances to take a decision on any matter within the competence of the Board of Directors, and the Board cannot be called together in time, such decision may be taken by a committee consisting of the Governor, one or more Deputy Governors and the two Directors responsible for the day-to-day handling of business.

The decision shall be implemented only when taken by affirmative vote of at least two thirds of the committee, and must be reported to the Board of Directors at its first meeting after the date of the urgent decision.

Sole Paragraph. The committee shall meet when the Governor considers it advisable, or whenever requested by the two Directors responsible for the day-to-day handling of business.

Art. 70. When, even in urgent circumstances, it is necessary to implement a decision on any matter within the competence of the General Council, and the Council cannot be called together in time, the Board of Directors shall make the decision, and shall report it and its rationale to the General Council, convened thereafter.

Art. 71. The Board of Directors shall hold two obligatory meetings a week and shall not constitute a quorum or be able to make decisions unless the majority of the members then in office are present.

Decisions shall be taken by a majority of votes, and the Governor and all other members of the Board shall be required to vote.

Art. 72. Mention shall be made, summarily but clearly, in the minutes of the Board of Directors of all matters dealt with at the meetings which cannot be considered mere routine. The minutes shall be written and signed by the Secretary to the Board and Council of the Bank and initialed by the Governor after he has made sure they are correct.

Art. 73. The Board of Directors, for the direct supervision of the business of the Bank, shall be divided into as many categories as necessary to check and supervise operations, each category being in the charge of a Director selected to direct and supervise the service in question.

The following categories shall be considered obligatory:

- (a) General accounting;
- (b) Staff;

- (c) Discounts and transfers;
- (d) Deposits, collections and miscellaneous operations;
- (e) Issue and amortization of notes;
- (f) Exchange operations, monetary reserve and foreign relations;
- (g) Registration and movement of shares;
- (h) Branches and agencies;
- (i) Operations with the Treasury;
- (j) Legal questions;
- (k) General cash department;
- (l) Economic and statistical research;
- (m) Library and files;
- (n) Premises, machinery and maintenance.

The Directors shall direct and exercise immediate supervision over the operations or services under their control; they shall give written or oral opinions on the matters entrusted to them concerning which the Board of Directors needs information; they shall propose to the Board such measures as they consider advisable to improve or expand their respective services and shall submit annually to the Board a report summarizing the status of those services and the results obtained.

Par. 1. This division of duties shall not limit the right of all members of the Board to check and examine the transactions of the Bank in general and to propose measures concerning any of them.

Par. 2. No Director may be in charge of more than three categories.

Par. 3. There shall always be two Directors responsible for directing the day-to-day business activities, this duty being assigned according to seniority.

SECTION IV. BOARD OF AUDITORS

Art. 74. The Board of Auditors shall function throughout the year and shall:

1. Examine the weekly balance sheets, the general balance sheet and the documents and reports submitted by the Board of Directors while it is in office;
2. Inspect the internal administration of the Bank and see whether the Charter, regulations, and orders regarding its management are being correctly executed;
3. Call the attention of the Board of Directors to any matter it believes should be studied;

4. Attend, by delegation and in accordance with Article 76, the meetings of the Board of Directors;
5. Examine the books, the strongboxes and the vaults of the Bank whenever it considers it advisable;
6. Append to the Annual Report of the Board of Directors its opinion concerning the documents referred to in item 1, above, and concerning the accounts for the previous year, the fixing of the dividend and any other proposals of the Board of Directors, indicating what it considers best for the interests of the public and the Bank;
7. Convene the General Meeting referred to in Article 100, item 5;
8. Take part in the discussions and resolutions of the General Council.

Art. 75. The Board of Auditors shall elect from among its members a chairman and a secretary, and shall keep a book of minutes containing the decisions taken at its meetings and describing the manner in which the various activities for which the Board is responsible were carried out.

The Board of Auditors shall not be considered as forming a quorum or able to take decisions unless a majority of the members then in office are present. It shall take decisions by a majority vote.

Art. 76. The members of the Board of Auditors may attend the ordinary meetings of the Board of Directors when they consider it advisable, but with an advisory vote only concerning the matters there dealt with, it being obligatory, however, that one of its members, according to seniority, attend the said meetings.

Art. 77. The Board of Auditors shall hold one obligatory meeting a week and as many others as may be necessary for the performance of its functions.

SECTION V. STABILIZATION COMMITTEE

Art. 78. There shall be a Committee with the special function of giving its opinion on the cost and general volume of credit in any form.

Sole Paragraph. This Committee, of which the Governor shall be chairman, shall meet whenever convened by him and shall have as members:

- (a) The Deputy Governors for the State;
- (b) The Deputy Governor for the Bank;
- (c) The Directors responsible in the Bank for supervising the operations provided for in Article 73(c) and (f).

SECTION VI. GENERAL COUNCIL

Art. 79. The General Council shall meet at least once a month to take cognizance of operations as a whole and of the general position of the Bank, and to decide on matters submitted to it under the organizational provisions.

It shall be the special responsibility of the General Council:

1. To elect biennially ¹¹ by secret ballot the Deputy Governor for the Bank;
2. To set the monthly salary of the Director superintending Category (e) [Article 73];
3. To set the limits on credit in excess of two thousand *contos* [2,000,000 escudos] to customers of the Bank;
4. To draw up the lists of employees at the Bank's head office and subsidiaries and determine the periods of employment;
5. To determine, on the proposal of the Board of Directors, the total capital of the Bank under Article 8 and its Sole Paragraph, and to decide on the writing, issue and amortization of notes;
6. To appoint and dismiss the directors of branches and agencies under Articles 81 and 82, and the cashier in the special case referred to in Article 83;
7. To decide on the creation of discount committees when it considers this advisable and to appoint the members thereof under Article 86;
8. To decide, on the proposal of the Board of Directors, on all matters it considers conducive to the furtherance and security of operations, and especially matters related to the opening of agencies, correspondents' offices and delegations from the head office to the Council of Lisbon; and also on the desirability of proposing to the General Meeting the opening of any branch, or its change to an agency, and vice versa; submitting these decisions for the approval of the Government when necessary, as provided in Article 2 and Article 89, paragraph 2;
9. To discuss and approve the regulations for branches and agencies, the administrative regulations of the Bank and any other operating regulations submitted to it by the Board of Directors;
10. To determine the distribution of the profits of the Bank, for submission to the General Meeting;

¹¹ The Portuguese text reads *bi-anualmente*; this is obviously an error, and should read *biennialmente* (biennially; every two years). See Art. 46, paragraph 3.

11. To request that an extraordinary session of the General Meeting be called when it considers it necessary;
12. To regulate, finally, all matters submitted to it by the Board of Directors in connection with the administration and general organization of the Bank.

Art. 80. The General Council shall not be considered to have formed a quorum or to be in a position to take decisions unless the majority of the members of the Board of Directors and the majority of the members of the Board of Auditors referred to in Articles 71 and 75 are present.

All members of the General Council shall have a vote at its meetings.

This Council shall be governed by the provisions of Article 71, where applicable to votes, and of Article 72.

CHAPTER X. BRANCHES, AGENCIES AND CORRESPONDENTS

Art. 81. A number of Directors not exceeding five, all appointed by the General Council of the Bank, one of whom shall be chosen as chairman by the Council, shall be responsible for the administration of branches, under the general responsibility of the Bank.

The managers of branches shall direct the day-to-day business, supervise all sections of the staff, take part in the decisions and administrative activities for which they share responsibility, and see that the law, the Charter and the regulations are complied with.

The management of branches, which shall be responsible for its actions vis-à-vis the Bank, shall have the duty of deciding, executing and exercising all powers of administration under the organizational and regulatory provisions.

Art. 82. As a rule, agencies shall be managed, under the general responsibility of the Bank, by two agents appointed by the General Council of the Bank.

The two agents, with identical administrative powers and with responsibility for their actions, shall direct the business activities authorized by the regulations and instructions from the head office, in conformity with the advantage and interests of the Bank and the established rules.

Art. 83. The administration of agencies may also be entrusted to a single agent, but in this case there shall be a cashier whose office shall, in addition to the special functions of cash office for the agency, also exercise such administrative functions as may be established by regulation.

Art. 84. Correspondence and other acts and documents regarding operations for which branches and agencies are responsible, including those arising out of the exercise of the functions of general cash department of the Treasury and central exchequer of the Treasury in the various administrative districts, shall be signed in conformity with the applicable regulations.

Art. 85. The managers of branches and the agents, on taking charge of their offices, shall furnish security for compliance with their responsibilities.

Par. 1. It shall be the duty of the Board of Directors to establish the terms, conditions and amount of the security, and the items of which it is to be composed.

Par. 2. The security, with the items composing it on the day the official leaves office, may be returned or canceled only after the General Meeting has approved the balance sheet and accounts for the fiscal year concerned.

Art. 86. When circumstances make it advisable, there may be organized, at each branch or agency, a local discount committee appointed by the General Council and headed by the manager of the branch or by any of the agents concerned.

Art. 87. Special regulations subject to Government approval shall determine the operations for which branches and agencies are to be responsible, in accordance with Articles 30, 32, 33 and 34, and shall establish their administrative organization on the basis of Articles 81, 82 and 83. These regulations shall be drawn up by the Board of Directors and approved by the General Council.

Art. 88. The opening of branches shall always require the approval of the ordinary General Meeting. The opening of agencies, correspondents' offices and delegations from the head office shall be decided on by the General Council of the Bank without prejudice to approval by the Government when necessary.

Art. 89. Agencies must be changed to branches when the expansion of their business and their probable permanence justify such action and when the change is authorized by the General Meeting. When any agency is in these circumstances, the Board of Directors shall submit the matter to the General Council, which shall decide on it.

Par. 1. The changing of any branch to an agency or correspondent's office shall also be decided on by the General Meeting on the proposal of the General Council of the Bank.

Par. 2. The changing of agencies to branches, and vice versa, after authorization by the General Meeting of the Bank, may become effective only with government approval.

CHAPTER XI. GENERAL MEETING

Art. 90. All shareholders of the Bank shall be represented in the General Meeting, whose work shall be directed by a Chairman or Vice-Chairman and by two Secretaries or Deputy Secretaries, all elected every two years by the Meeting and eligible for re-election.

Par. 1. In the absence, or inability to attend, of the Chairman or the Vice-Chairman, one of the Secretaries or Deputy Secretaries, in order of importance, shall replace him.

Par. 2. The Chairman may delegate to the Vice-Chairman or to one of the Secretaries or Deputy Secretaries the power conferred on him by the Charter or the administrative regulations to sign or initial the books and other documents of the Bank.

Art. 91. There shall be sessions of the General Meeting as follows:

- (a) Ordinary sessions, regular or convened on an extraordinary basis;
- (b) Extraordinary sessions.

Sessions of the General Meeting, whether ordinary or extraordinary, shall comprise all shareholders holding fifty or more fully paid-up shares.

Art. 92. Shareholders employed by the Bank shall not take part in any General Meeting.

Art. 93. Shareholders attending ordinary or extraordinary sessions of the General Meeting shall have a number of votes proportional to the number of shares they hold, with the following limitation:

Each group of fifty shares shall entitle the holder to one vote, the number of votes not to exceed ten regardless of the number of shares held, except in compliance with the final part of Article 12, paragraph 1, of this Charter.

Sole Paragraph. The administrative regulations shall determine the conditions to be met for implementation of the provisions of this Article.

Art. 94. A shareholder who is entitled to attend the General Meeting, ordinary or extraordinary, shall be entitled to be represented at such Meeting by proxy, but the authorization to act as proxy may be given only to another member of the General Meeting concerned and shall entail the power of the proxy to discuss and vote as he sees fit.

Par. 1. The proxy shall have as many votes as he is entitled to on the basis of the shares he holds and those held by his constituents.

Par. 2. All legal entities holding shares in the circumstances required for eligibility to attend the Meeting shall, for purposes of this Article, be counted as shareholders, provided that they are represented by one individual. In this case the individual representing them shall be entitled to the votes of the legal entities he represents, but shall not represent any other shareholder by proxy.

Par. 3. Authorizations to act as proxy shall be presented on or before the day preceding the session of the General Meeting, except as provided in Article 107, paragraph 1.

Art. 95. The following provisions shall govern the preparation of the list of shareholders to be admitted to the General Meeting:

1. Registered shares must be entered in the Bank's registers, and bearer shares deposited with the Bank, at least five months before the date of the session.
2. When shares are held as a result of legacies or marriage, the time they have been in the possession of the former holder shall if necessary be counted in making up the period referred to above.

Sole Paragraph. The period of five months referred to in this Article for registration or deposit of the shares entitling the holder to admittance to or representation at the General Meeting shall not preclude the convening of such Meetings in ordinary or extraordinary session at the times set in the present Charter, even though such times may be shorter than the five-month period.

Art. 96. The General Meeting shall never be composed of more than three hundred shareholders.

Par. 1. After shares have been deposited for the period established in item 1 of Article 95 for attendance at a General Meeting, the management of the Bank shall check whether this may cause the number of members of such Meeting to exceed three hundred and, if such is possible, shall prepare a list of depositors stating the number of votes to which each is entitled.

Par. 2. After the number of possible votes has been obtained, it shall be divided by three hundred, and shareholders holding a number of votes equal to or higher than the quotient shall be approved immediately as members of the General Meeting.

Par. 3. Shareholders not meeting the conditions in the foregoing paragraph shall be invited to group themselves together in such a way that each group has a number of votes equal to or higher than the quotient referred to in that paragraph, with the shareholders choosing as proxy one shareholder to represent them at the Meeting.

Par. 4. The list of shareholders referred to in paragraph 3 shall be published at least a week before the date of the Meeting in two Lisbon papers and in the *Diário do Governo*.

Par. 5. The powers of proxy conferred for the purposes of paragraph 3 shall be presented at the head office of the Bank on or before the day preceding that of the Meeting, and that office shall be open for this purpose during the usual hours even if the day preceding the Meeting is a holiday.

Art. 97. The following may attend the General Meeting to represent shareholders:

1. A member of the management of any bank, company, partnership or legally recognized corporation, as its agent;
2. A husband for his wife and a father for his minor children;

3. A guardian or trustee for his charge;
4. One member of a commercial firm for the firm;
5. The legal representative of a testamentary estate for an undivided estate;
6. The proxy of a shareholder, under the provisions of Article 94;
7. The proxy (under the provisions of Article 94) of a husband and wife under a jointly granted power of attorney, or of parents for their minor children.

Par. 1. Shares held jointly by husband and wife shall entitle one person to attend the Meeting; representation by one person shall not be based on counting together shares held separately by husband and wife or by counting together the portions of minor children, those under guardianship and other charges.

Par. 2. The provisions of paragraph 2 of Article 94 shall be applicable to fathers, guardians and trustees having more than one child, person under guardianship, or other charge, entitled to representation at the Meeting.

Par. 3. The documents proving the right to attend the General Meeting under this Article shall be delivered to the Bank on or before the day preceding the date of the Meeting, and the Bank shall be open for this purpose during the usual hours on the day preceding the Meeting, even if the day is a holiday.

Art. 98. The General Meeting shall hold its regular ordinary session at the beginning of each year, before the end of March, to discuss and vote on the balance sheet and other documents presented by the Board of Directors as well as to discuss and vote on the report of the Board of Auditors and elect officials of the Bank.

Par. 1. For implementation of the provisions of this Article, the Board of Directors, two weeks before the date set for the Meeting, shall have distributed to the shareholders the Annual Report, balance sheet and report of the Board of Auditors, and the list of shareholders entitled to attend the ordinary and extraordinary sessions.

Par. 2. During the same period there shall be on display at the Bank, for examination by shareholders, all documents referred to in this Article, as well as the general books of the Bank and the list of shareholders who may attend the ordinary and extraordinary General Meeting.

Art. 99. It shall be the duty of the General Meeting:

1. To elect the shareholders who are to serve as officers, the part of the Board of Directors that is elected, the Board of Auditors and any committees;

2. To take cognizance of all acts of administration and control of the Bank and of the proposals or plans presented to it and indicated in the notices of the Meeting;
3. To resolve and decide on all other acts referred to in this Charter as within its competence;
4. To supervise all matters relating to the Bank's business.

Sole Paragraph. The General Meeting may and shall, when it considers it necessary, appoint special committees of inquiry to examine the acts referred to in item 2 of this Article.

Art. 100. In addition to the session referred to in Article 98, the General Meeting may hold ordinary sessions convened on an extraordinary basis:

1. When the Chairman and Secretaries consider it necessary;
2. When the Governor of the Bank has requested it;
3. When it is necessary to fill any of the positions of officers presiding over the General Meeting that have become vacant as a result of death or resignation;
4. When it becomes necessary to elect Directors to the Board of Directors or members of the Board of Auditors;
5. When a session is requested by the majority of the Board of Directors or the Board of Auditors;
6. When twenty shareholders who were entitled to attend the last ordinary General Meeting, and who attended it, request a session in a memorandum giving reasons and signed by all of them.

When a session of the General Meeting is held for the last reason it shall not take up the matter unless at least three fourths of the signatories of the memorandum are present, failure to appear being considered renunciation of the request.

Art. 101. The ordinary General Meeting may function when, at the time indicated, more than one fourth of the shareholders comprising the Meeting are present or are represented, and they hold shares the value of which is not less than ten per cent of the paid-up capital of the Bank; decisions shall be valid by a majority vote of the Meeting.

Sole Paragraph. A roll call shall not be refused if requested by five or more shareholders and approved by a number of them representing at least one fifth of the votes of the shareholders present in person or through their representatives.

Art. 102. If, at the time a Meeting is first convened, the number of shareholders required for an ordinary session under Article 101 is not

present, another session shall be called, which shall be held within thirty days but never earlier than two weeks later, decisions taken at that time being valid no matter what number of shareholders is present or what proportion of the capital is represented.

Art. 103. The extraordinary General Meeting shall meet only to decide on the amendment of the Charter, and the period of duration, increase of capital, dissolution and liquidation of the Bank.

Par. 1. This Meeting shall be called only:

1. If decided on by the General Meeting in ordinary session;
2. If requested by the Governor;
3. If requested by the General Council of the Bank;
4. If requested by shareholders who together represent at least one tenth of the paid-up capital of the Bank.

Par. 2. The extraordinary General Meeting called as provided in item 4 of the preceding paragraph shall be governed by the last part of Article 100.

Art. 104. For the extraordinary General Meeting to decide to alter or amend the Charter, to increase or reduce the capital, or to extend the duration of the Bank or dissolve or liquidate it, it shall be necessary:

1. That all shareholders meeting the conditions of Article 91 be called;
2. That the Meeting be attended by one fourth of the shareholders called or their representatives;
3. That the Meeting decide in the affirmative on the prior opinion of a special committee, and that the decision be taken by the number of votes representing at least one fourth of the paid-up capital of the Bank; in the case of dissolution and liquidation, however, votes representing at least one half of the capital shall be required.

Sole Paragraph. The decision of the General Meeting shall be authorized by law in cases which require legislative backing.

Art. 105. If a quorum is not formed or an adequate vote is not obtained at the first session at which any matter within the competence of the General Meeting is to be decided, a new session shall be called in not more than thirty days or less than two weeks, in which case the Meeting shall form a quorum with one eighth of the shareholders called, and the decision shall be valid if it has a number of votes representing at least one eighth of the paid-up capital of the Bank; in the case of dissolution and liquidation of the Bank, however, votes representing at least one fourth of the said capital shall be required.

Sole Paragraph. If no quorum is formed or adequate vote taken at this session, a third shall be called, in which case the provisions of Article 102 shall be applicable.

Art. 106. General Meetings shall not decide or resolve matters not germane to those for which they were convened; however, decisions and resolutions taken in accordance with the regulations shall be binding, even on absent or dissenting shareholders.

Art. 107. Calls to a General Meeting shall be made in the name of the Chairman by letter from the First Secretary sent to the domicile of the shareholders known to the Bank; and by announcement signed by the First Secretary and published in the Official Gazette at least two weeks in advance, except in urgent and extraordinary cases.

Par. 1. In these cases, presentation of the documents referred to in Articles 94, 96 and 97 may be made from the date the Meeting is called until the actual opening date.

Par. 2. The letters convening the Meeting shall always indicate briefly the purpose for which it has been called.

Art. 108. Election to the offices of Chairman, Vice-Chairman, Secretary and Deputy Secretary of the General Meeting, and to positions on the Board of Directors and the Board of Auditors, shall be by secret ballot and an absolute majority of votes. If an absolute majority is not obtained on the first vote, however, a relative majority shall suffice for the second ballot.

Par. 1. In case of a tie, the shareholder with the highest seniority shall be elected and, if seniority is equal, the shareholder holding the largest number of shares; if the number of shares is equal, the question shall be decided by lot.

Par. 2. The provisions of this Article and paragraph 1 thereof shall be observed in electing any committee not appointed by acclamation of the General Meeting.

Art. 109. The offices of Chairman, Vice-Chairman, Secretary and Deputy Secretary of the General Meeting and of the General Council shall preclude the holders from occupying any other post or accepting any other employment with the Bank.

CHAPTER XII. GENERAL AND TEMPORARY PROVISIONS

Art. 110. Questions arising between the State and the Bank of Portugal in regard to the interpretation and execution of their contracts shall be decided, finally and without appeal, by three arbitrators: one appointed by the Government; another by the Bank; and the third, who shall preside, shall be the President of the Supreme Court.

Art. 111. So long as the provisions of Decree No. 20683 of December 29, 1931 and Decree-Law No. 22496 of May 4, 1933 remain in effect, the accounts of the Bank of Portugal shall be kept in compliance with the rules agreed between the Government and the Bank.

Par. 1. The gold referred to in Clauses 13 and 14 of the contract of June 29, 1931 and Articles 27 and 29 of this Charter shall be entered on the books at its value according to the base price of gold resulting from the relationships: 28.75 escudos are equal to 1 U.S. dollar of the weight and fineness in effect on July 1, 1944; and 1 troy ounce is equal to 35 U.S. dollars.

Par. 2. Foreign currency shall be entered on the books at the parity rate of each in conformity with the relationships given in this Article.

Par. 3. Of the increment resulting from the valuation of gold made in application of paragraph 1 above, part shall be used for full repayment of the debts of the Treasury to the Bank of Portugal referred to in Clauses 10, 11 and 14 of the contract of June 29, 1931, and the remainder shall be credited to a special account for use in meeting possible disequilibria arising from a change in the value of the gold held by the Bank and the payments required by operations or transactions involving gold or by the movement of gold, and for other purposes agreed between the State and the Bank.

Par. 4. Such changes and entries as are required for compliance with this Article shall be made on the books of the Bank.

Art. 112. To facilitate compliance with Article 7 of the present Charter and to prevent the capital of the Bank from being represented by fractions of a share, the Bank shall acquire from the State, for cancellation, the certificate now held by the latter having the value of one third of one share in the Bank.

Art. 113. The Bank shall be excused from payment of all taxes and fiscal charges on the value of its assets and the increase in capital and reserves arising from the provisions of this Charter and the contract approved by Decree-Law No. 44432 of June 29, 1962.

Art. 114. Until such time as the regulatory and organizational system of the Bank is altered, there shall continue in effect, wherever they are not contrary to the present Charter, the present regulations as amended by decision of the General Council according to circumstances and need.

Art. 115. The provisions of Article 114 shall also be applicable to the administrative regulations approved by Decree of April 23, 1891 and to those of branches and agencies approved by Decrees of May 24, 1897 and July 17, 1916, but government approval has not yet been granted to the decisions of the General Council of the Bank concerning the manufacture and issue of notes and the services involved in the functions of general

cash department of the Treasury and central exchequer of the Treasury in the administrative districts.

Art. 116. The Bank may adopt, without prejudice to its guarantees and interests, any measures it considers suitable for facilitating the settlement and repayment of transactions now pending but not permitted by the new organizational or regulatory provisions.

Sole Paragraph. The guarantee furnished by the State for the liability arising from repayments for execution of Article 2 of Decree No. 18946 of October 21, 1930 shall continue to exist until repayment has been completed.

Art. 117. The signature of the Governor, one of the Deputy Governors, or two of the Directors shall be adequate to obligate the Bank.

Par. 1. The public or notarial acts and the correspondence or other documents sent to official agencies shall require the signature of the Governor or one of the Deputy Governors.

Par. 2. The notes and shares issued by the Bank shall require the signature and seal of the Governor and one of the Directors.

Par. 3. Except in the cases referred to in the foregoing paragraphs, the signature of one of the Directors and one of the high-ranking employees of the Bank, or of two such employees jointly, shall be adequate, when so decided by the Board of Directors.

Par. 4. Correspondence and other documents sent to official agencies the nature of which does not justify signature by the Governor or one of the Deputy Governors under paragraph 1 shall be signed by two Directors, but in routine cases the Governor may authorize two high-ranking employees chosen by him to sign.

Art. 118. To such officers or employees as may so request, the Bank may grant medium-term or long-term loans to facilitate the purchase or construction of their own houses.

Sole Paragraph. The Board of Directors shall decide the amount, guarantee and other conditions of the loans on the basis of the family and financial circumstances of the persons concerned.

Art. 119. Persons in the service of the Bank shall be entitled to sickness and retirement pensions on terms to be defined by the General Council, which shall also determine the conditions in which the Bank may grant survivors' pensions to the widows and minor children of persons in its service.

Art. 120. Members of the General Council of the Bank who have exercised their functions for at least twenty years, consecutively or with interruptions, shall be entitled to receive on retirement a monthly pension equal to the salary received on the date they leave the Bank, for whatever cause.

Par. 1. When a position has been held for less than twenty years but more than five, the provisions of this Article shall be applicable with the difference that in this case the amount of the pension shall be the amount corresponding to the product of the number of years spent in the position multiplied by one twentieth of the salary.

Par. 2. For purposes of this Article, there shall be added to the time in the position here referred to the time spent in previous positions on the staff of the Bank.

Par. 3. In case of death, the General Council may grant the widow and minor children a monthly pension corresponding to half the salary or pension received by the deceased.

Decree-Law No. 46492 ¹

1. The recent evolution of the money markets in our country has shown the need to adopt measures to improve the conditions in which they function. In Article 27 of Law No. 2124 of December 19, 1964 it was expressly established that: "In carrying out the reform and adaptation of the financial structure to present conditions of national economic development, the Government shall promote the measures considered necessary for the effective functioning of the banking system and the capital market."

Furthermore, the various enactments dealing with financial matters that have been promulgated recently show the Government's firm intention to take active steps toward the general objectives defined above. With the reorganization of the credit system and the banking structure in the overseas provinces (Decree-Law No. 45296 of October 8, 1963), the definition of the general conditions governing export credit and export credit insurance operations (Decree-Law No. 46303 of April 27, 1965), the amendment of the provisions governing the investment of foreign capital on Portuguese territory (Decree-Law No. 46312 of April 28, 1965), the control of the creation and operation of investment funds and their related management companies (Decree No. 46342 of May 20, 1965) and the publication of regulations governing issue and circulation of overseas development bonds (Decree-Law No. 46380 of June 11, 1965), significant steps have already been taken toward perfecting the country's monetary and financial instruments.

Meanwhile, some alterations are urgently needed in the credit system of continental Portugal and the adjacent islands.

2. In the first place, considering the position of the Bank of Portugal as the bank of issue, central bank and reserve bank, as defined in its Charter or organic laws and in its contracts with the State, and the functions it has to exercise in consequence, with special reference to the money market, it

¹The Decree-Law was promulgated by the Minister of Finance on August 18, 1965 and published in the *Diário do Governo* of the same date.

is necessary to clarify or redefine the nature and scope of the powers that have been or should be granted to the Bank. As a general principle, it is essential that the Bank of Portugal, in its above-mentioned capacity and in exercise of the powers defined in Paragraph 2 of Article 14 of Decree-Law No. 42641 of November 12, 1959,² shall have at its disposal the instruments of monetary policy provided by current legislation, using them under the guidance of the Government and always in step with the evolution of those markets. Only thus can the Bank act, from moment to moment, so as to regulate the operation of the money market and ensure that the money supply is in line with the requirements of economic activity. Furthermore, the powers in this sphere entrusted to the central banks in most of the Western countries are a sufficiently clear example.

3. One of the features that have come to characterize the evolution of the money market in recent years has been the considerable intensification of interbank competition, particularly in the demand for available funds. Such competition has caused some confusion in this market, revealing the need for some intervention designed to forestall it.

Hence, it is considered appropriate to set down with greater precision the rules and regulations governing bank deposits, especially time deposits, and to establish rules for cash reserves and other guarantees for commercial banks' sight and short-term liabilities, more in keeping with the principal categories of those liabilities. And, while the mobilization of certain funds for lending operations is facilitated by a relaxation of time limits, nevertheless recent developments make it advisable to introduce appropriate quantitative and qualitative measures relating to the creation of paper credit by commercial banks, and to the productive utilization of the sight liabilities or very short-term liabilities collected by the commercial banks, with the ultimate objective of a selective expansion of bank credit.

It is also evident that the effects of certain shortcomings in the interest rate structure have become more pronounced; they have certainly contributed not only to the intensification of some pressures on the money market, but also to continued weakness of the capital market. In these circumstances, while the central bank will have to make the rates for credit operations uniform for the whole territory of continental Portugal and the adjacent islands, it has also become necessary simultaneously to modify and extend the system of legal interest rate limits for banks' lending and borrowing operations. Moreover, with a view to stimulating the demand for bonds, it is appropriate to consider, in addition to other measures, granting to certain securities the benefit of exemption from, or reduction of, the capital investment tax and the complementary tax in respect of the interest on the said securities.

4. Finally, with direct reference to the resources without which the Bank of Portugal cannot properly exercise its functions as the bank of issue, central bank and reserve bank, the Government recognizes that it is vital that the Bank have at its disposal adequate data on the position and activity

² For the text of Art. 14, see below, p. 597.

of the money and capital markets. Indeed, without access to information that is regular, up-to-date and as complete as possible, it is extremely difficult for the bank of issue to exercise the functions entrusted to it, or to provide timely information on the evolution of these markets for the Government.

THEREFORE:

Considering the provisions of Article 27 of Law No. 2124 of December 19, 1964;

Taking due note of the provisions of Decree-Law No. 41403 of November 27, 1957 and Decree-Law No. 42641 of November 12, 1959, together with the Charter or organic laws of the Bank of Portugal and the contracts between the State and the said Bank;

After consulting the National Credit Council;

By virtue of the authority conferred by Article 109, Paragraph 2, part 1, of the Constitution, the Government decrees and I promulgate, with force of law, the following:

CHAPTER I. OPERATIONS OF CREDIT INSTITUTIONS

Art. 1. Deposits of cash holdings [*disponibilidades monetárias*] in credit institutions shall take one of the following forms:

- (a) Demand deposits;
- (b) Time deposits;
- (c) Notice deposits.

Par. 1. Demand deposits shall be payable immediately.

Par. 2. Time deposits shall be payable only at the end of the period for which they were made, which period shall not be less than thirty days. Deposits in commercial banks shall not be made for a period exceeding one year.

Par. 3. Notice deposits shall be payable at the end of the period for which the depository has received notice in writing, as stipulated in the notice clause. This period shall not exceed ninety days.

Art. 2. Total cash holdings of commercial banks, constituted by cash on hand, demand deposits with the bank of issue of metropolitan Portugal and national development bonds, shall at all times be at least equal to the total of the following amounts:

- (a) Fifteen per cent of the sight liabilities in Portuguese currency;
- (b) Ten per cent of the total of time and notice deposits in Portuguese currency made for periods of thirty to ninety days, inclusive;
- (c) Five per cent of the total deposits in Portuguese currency made for periods of more than ninety days.

Sole Paragraph. In addition to demand deposits and other immediately payable liabilities, notice deposits in Portuguese currency at less than thirty days shall also be considered sight liabilities for the purposes of this Article.

Art. 3. Checks issued by commercial banks either on their own branches (or vice versa) or on other credit institutions shall not be counted among the items listed in Paragraph 1 of Article 57 of Decree-Law No. 42641 of November 12, 1959 as part of the cash holdings of commercial banks referred to in the preceding Article.

Art. 4. In determining the liquidity situation of the commercial banks, the surplus of cash holdings over and above the minimum amounts found to exist in conformity with the provisions of Article 2 will be considered as cover for the various categories of liabilities enumerated in that Article, in proportion to the minimum amounts referred to.

Art. 5. That part of the value of liabilities in Portuguese currency mentioned in Article 2, items (a) and (b), which exceeds the amount of cash holdings constituted as indicated in that same Article and calculated in conformity with the preceding Article must always be completely guaranteed by the assets mentioned in Article 60 of Decree-Law No. 42641, but commercial paper held by correspondents in Portugal and balances with credit institutions domiciled in Portugal, referred to in items (h) and (j) of that Article, respectively, may be payable in a maximum period of not more than one hundred eighty days.

Art. 6. The total amount of the commercial banks' sight liabilities in Portuguese currency and of time or notice deposits in Portuguese currency in commercial banks for periods of thirty days or more shall be wholly guaranteed at all times by the sum of the following assets:

- (a) The cash assets referred to in Article 2;
- (b) The assets referred to in Article 60 of Decree-Law No. 42641, with the amendment mentioned in Article 5 of the present Decree-Law;
- (c) Securities in the commercial portfolio with maturities of more than six months but not more than two years, represented by discounted bills, receipts, abstracts of invoices and warrants;
- (d) Loans or current accounts with maturities of more than one year but not more than two years, guaranteed in any legally permissible manner.

Sole Paragraph. Those amounts of the assets referred to in items (c) and (d) of the present Article which do not arise from investment of the commercial banks' own capital shall never exceed the amount of deposits in Portuguese currency made with those banks for periods exceeding ninety days, except in the cases provided for in item (d) of Article 62 of Decree-Law No. 42641.

Art. 7. No credit institution shall grant to its correspondents powers to effect any banking operation without previous authorization by the Minister of Finance.

CHAPTER II. INTEREST RATES

Art. 8. Commercial banks shall not pay interest at rates higher than the following limits:

- (a) One half of one per cent on demand deposits;
- (b) One and one-fourth per cent on notice deposits at less than thirty days;
- (c) Two and one-half per cent on time or notice deposits at thirty to ninety days, inclusive;
- (d) Three and one-half per cent on time deposits at more than ninety days and up to one year.

Sole Paragraph. Within the limits established in this Article, the Minister of Finance, upon a proposal of the National Association of Banks and Banking Houses, may fix by executive decision more differentiated interest limits corresponding to the length of the notice and deposit periods.

Art. 9. The special credit establishments mentioned in item (d) of Article 2 of Decree-Law No. 42641 shall not pay interest at rates higher than the following limits on any deposits that they are legally authorized to receive:

- (a) Two per cent on demand deposits and notice deposits at less than thirty days, up to the amount of twenty thousand escudos, and one and one-fourth per cent above that amount;
- (b) Two and one-half per cent on time or notice deposits at thirty to ninety days, inclusive;
- (c) Three and one-half per cent on time deposits at more than ninety days and up to one year;
- (d) Four per cent on time deposits at more than one year.

Art. 10. All credit institutions are prohibited from assigning to their depositors any benefits or premiums that could, directly or indirectly, result in returns on their deposits becoming higher than the maximum rates fixed in Article 8 and Article 9, above.

Art. 11. Credit institutions shall not charge interest on their lending operations at rates higher than the following limits:

- (a) In discounting commercial bills and in other credit operations for periods not exceeding six months, the discount rate of the Bank of Portugal plus one and one-half per cent;

- (b) In any credit operations for periods exceeding six months but not exceeding one year, the discount rate of the Bank of Portugal plus two per cent;
- (c) In credit operations for periods exceeding one year, but not exceeding five years, the discount rate of the Bank of Portugal plus two and one-half per cent;
- (d) In operations for periods exceeding five years, the discount rate of the Bank of Portugal plus three and one-half per cent.

Sole Paragraph. The Minister of Finance may authorize rates higher than those referred to in items (c) and (d) of the present Article, provided that the operations to which they relate involve the investment of special funds and are intended for purposes of acknowledged interest to the Portuguese economy.

Art. 12. In credit operations effected by the quasi-banking institutions referred to in Article 5 of Decree-Law No. 41403 of November 27, 1957 or through the companies referred to in Decree-Law No. 43767 of June 30, 1961, the maximum interest rates shall not exceed those referred to in the preceding Article.

Art. 13. The interest rates agreed in accordance with the provisions of Article 11 and Article 12 shall be neither reduced nor increased by virtue of a change in the discount rate of the Bank of Portugal during the period for which the operations were undertaken.

Art. 14. Credit institutions and quasi-banking institutions shall not, either directly or indirectly, take the place of depositors, or of others who are their creditors as a result of banking operations, in paying the taxes that such depositors or creditors owe in respect of the interest on the relevant deposits and operations.

Art. 15. The Directorate-General of Taxes and Excise shall exercise the control incumbent upon it with respect to observance of the fiscal regulations relating to interest on deposits in credit institutions.

Art. 16. Any commissions charged by credit institutions and by quasi-banking institutions on operations they effect shall be considered as interest for purposes of the limits fixed in Articles 11 and 12.

Par. 1. Transfer fees relating to drafts or other commercial bills payable in a market located in an administrative area [*concelho*] other than that in which the discount operation was originated are excepted from the provisions of this Article.

Par. 2. The transfer fees referred to in the preceding paragraph shall be fixed by the National Association of Banks and Banking Houses, subject to confirmation by the Inspectorate-General of Credit and Insurance.

Par. 3. In the case of loans contracted through the companies referred to in Decree-Law No. 43767, the total of the interest received by the lender plus the commission charged by the intermediary bodies shall remain within the limits fixed in Articles 11 and 12, above.

Art. 17. The Minister of Finance may, by order [*portaria*], upon the recommendation of the Bank of Portugal and after consulting the National Credit Council, change the interest rate limits referred to in Articles 8, 9 and 11, as well as fix interest rates for any other banking operations.

CHAPTER III. MONEY MARKET AND BANK OF ISSUE, CENTRAL BANK
AND RESERVE BANK

Art. 18. In special circumstances affecting the monetary and financial situation, and with due regard to the funds needed for national economic development, the Minister of Finance, upon the recommendation of the Bank of Portugal and after consulting the National Credit Council, may, by order, set limits to the credit to be granted by credit institutions and quasi-banking institutions.

Art. 19. It is incumbent upon the Minister of Finance, in accordance with Article 14 of Decree-Law No. 42641, to formulate directives with a view to promoting coordination of the volume and the distribution of credit with the requirements of each sector of the economy.

Art. 20. The Government shall continue to regulate those credit operations of banks where the purpose is to finance installment sales of consumer durable goods produced on Portuguese soil or imported from abroad, taking into consideration the legal provisions governing medium-term and long-term credit operations set forth in Article 17 of Decree-Law No. 44652 of October 27, 1962.

Art. 21. The Minister of Finance may, upon the recommendation of the Bank of Portugal and after consulting the National Credit Council, establish by order:

- (a) The limits and conditions to which the guarantees mentioned in Article 60 of Decree-Law No. 42641 and in Articles 5 and 6 of the present Decree-Law shall be subject;
- (b) The proportion of national development bonds in the cash assets referred to in Article 2;
- (c) The ratios referred to in Article 71 of Decree-Law No. 42641.

Art. 22. The Bank of Portugal, in its capacity as bank of issue, central bank and reserve bank, shall, in accordance with the provisions of Paragraph 2 of Article 14 of Decree-Law No. 42641, and in accordance with the provisions of its by-laws and of its contracts with the State, adopt, when

circumstances require, measures designed to regulate the functioning of the money market and to promote the coordination of the money supply with the requirements of economic activity.

Art. 23. In special circumstances affecting the monetary situation, the Bank of Portugal may fix interest rates higher than the standard rate for rediscount operations, and for direct loan operations not included in contracts with credit institutions for the opening of credits on current account, beyond the limits that the Bank of Portugal may announce to these institutions from time to time.

Art. 24. The Bank of Portugal, in its capacity as bank of issue, central bank and reserve bank, may, with the agreement of the Minister of Finance, change the percentages of cash assets set out in Article 2 of the present Decree-Law.

Art. 25. The foreign currency holdings of commercial banks, constituted in accordance with Articles 29 to 36 and Paragraphs 1 and 2 of Article 37 of Decree-Law No. 44699 of November 17, 1962, may be limited by the Bank of Portugal, taking into consideration the situation of the money and exchange markets and the position of the said institutions.

CHAPTER IV. CAPITAL MARKET

Art. 26. In conformity with the provisions of Article 27 of Law No. 2124 of December 19, 1964, the Minister of Finance is authorized to adopt the necessary measures to stimulate the capital market with a view to assuring its normal functioning and advancing the national economic development policy.

Art. 27. For the purposes indicated in the preceding Article, the Minister of Finance may, wholly or partially, exempt both from the capital investment tax and from the complementary tax the interest on bonds issued by those undertakings whose activities are included in the development plans or programs referred to in Article 4 of Decree-Law No. 44652 or, although not included therein, are of major interest from the point of view of national economic development.

CHAPTER V. INFORMATION ON MONEY AND CAPITAL

Art. 28. Credit institutions and quasi-banking institutions are required to send to the Bank of Portugal, in accordance with the instructions issued by the said Bank, monthly interim balance sheets and other data concerning their position and the operations they carry out in the money and capital markets.

Art. 29. To supplement the data relating to the general balance of international payments referred to in the Sole Paragraph of Article 7 of

Decree-Law No. 44699, the Bank of Portugal is authorized to seek from any institutions whatsoever, and they are required to supply to the Bank, the data necessary for the periodic preparation of a balance sheet of capital imports and exports, and for the determination of the net external credit or indebtedness of the national economy.

Art. 30. Credit institutions, quasi-banking institutions and the other entities referred to in Articles 28 and 29 shall send copies of the data which they transmit to the Bank of Portugal in compliance with the provisions of these Articles, to the Inspectorate-General of Credit and Insurance.

CHAPTER VI. SPECIAL AND TEMPORARY PROVISIONS

Art. 31. Infringements of the provisions of the present Decree-Law shall be punishable in accordance with the general law and with the provisions of Articles 89 to 98, inclusive, of Decree-Law No. 42641.

Sole Paragraph. Without prejudice to the penalties provided in the present Article, the National Association of Banks and Banking Houses may apply the disciplinary sanctions prescribed in its by-laws whenever its members adopt competitive practices that are incompatible with the principles of fair competition or that do not conform to good banking practice.

Art. 32. Without prejudice to the penalties provided in Article 31, institutions that do not forward, within the prescribed time limits, the accounting data or other information lawfully asked of them in circulars or instructions sent by registered mail by the Inspectorate-General of Credit and Insurance or the Bank of Portugal and requiring an acknowledgment of receipt, may be fined an amount not exceeding ten thousand escudos.

Sole Paragraph. Imposition of the fine shall be the responsibility of the Inspector-General of Credit and Insurance.

Art. 33. Articles 2 to 6 and Paragraph 2 of Article 16 shall enter into force sixty days after the date of publication of the present Decree-Law.

Art. 34. Deposits in existence on the date of publication of this Decree-Law with conditions differing from those established herein shall be brought into line with the prescribed conditions within the following periods:

- (a) Demand deposits with a notice clause in conformity with Article 50 of Decree-Law No. 42641, up to fifteen days from the date of publication of this Decree-Law;
- (b) Time deposits in conformity with the same Article, starting from the expiration of the period for which they were made.

Art. 35. In lending operations effected prior to the date of publication of this Decree-Law, the interest rates agreed upon at the time the operation was realized shall remain unchanged until the relevant due date.

Art. 36. Present bank correspondents shall apply for the appropriate authorization within a period of thirty days from the publication of the present Decree-Law, and those which are not granted such authorization shall terminate their activities within sixty days following the decision rejecting their application.

Art. 37. For all fiscal purposes, notice deposits at thirty days or more are considered equivalent to time deposits.

Art. 38. Article 37 of Decree No. 10634 of March 20, 1925, Decree-Law No. 27711 of May 19, 1937, Paragraphs 1 and 2 of Article 41 and Article 42 of Decree-Law No. 41403 of November 27, 1957, the body of Article 11 and Articles 23, 24, 50, 58 and 59, and Paragraphs 2 and 3 of Article 57 of Decree-Law No. 42641 of November 12, 1959, are repealed.

The Constitution ¹

ARTICLE 91

The functions of the National Assembly shall be:

- (1) To make, interpret, suspend and revoke laws;
 - (2) To ensure the observance of the Constitution and the laws and to examine the acts of the Government or the Administration;
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ARTICLE 93

The exclusive competence of the National Assembly includes approval of the general principles relating to:

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- (b) The weight, value and denomination of coins;
 - (c) The standards for weights and measures;
 - (d) The creation of banks or institutions of issue;
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¹ Constituição Política. As amended. Approved by a national plebiscite of March 19, 1933 and entered into force on April 11, 1933.

Banking Legislation

SUMMARY

The principal sources of banking law in Portugal are Decree-Law No. 41403 of 1957 and Decree-Law No. 42641 of 1959.¹ The preamble to the 1959 Decree-Law states that it contains regulations in regard to credit and commercial banking in general for the purpose of implementing the 1957 Decree-Law, but that it was also found necessary to supplement some of the provisions of the 1957 Decree-Law and to improve and unify the existing legislation. In the circumstances, there are only occasional references to the 1957 Decree-Law in this summary, and all references are to the 1959 Decree-Law unless otherwise indicated.

The 1959 Decree-Law comprises 102 articles, arranged in 12 chapters, as follows: Chapter I, Credit Activity (Arts. 1-12); Chapter II, Protection of Credit (Arts. 13-24); Chapter III, Administration of Credit Institutions (Arts. 25-35); Chapter IV, Registration of Credit Institutions and Publication of Their Reports and Accounts (Arts. 36-39); Chapter V, National Credit Council (Arts. 40-44); Chapter VI, Banks of Issue (Arts. 45-46); Chapter VII, Commercial Banks (Arts. 47-77);² Chapter VIII, Foreign Credit Institutions and Their Affiliates (Arts. 78-85); Chap-

¹ Decreto-Lei n.º 41 403—Regula o exercício das funções de crédito na metrópole e a prática dos demais actos inerentes a actividade bancária (Decree-Law No. 41403—Governing Credit Activity in Metropolitan Portugal and the Performance of the Other Functions of Banking) was promulgated on November 27, 1957 and published in the *Diário do Governo* of the same date; the text was also published in Banco de Portugal, *Relatório do Conselho de Administração, gerência de 1957* (Lisbon, 1958), pp. 182-192, and an English text, in pamphlet form, was published by the Bank of Portugal in 1964.

Decreto-Lei n.º 42 641—Promulga disposições destinadas a completar a execução do Decreto-Lei n.º 41 403, que reorganizou o sistema do crédito e a estrutura bancária (Decree-Law No. 42641—Containing Provisions to Supplement Decree-Law No. 41403 by Which Credit and the Structure of the Banking System Were Reorganized) was promulgated on November 12, 1959 and published in the *Diário do Governo* of the same date; the text was also published in Banco de Portugal, *Relatório do Conselho de Administração, gerência de 1959* (Lisbon, 1960), pp. 251-272, and an English text, in pamphlet form, was published by the Bank of Portugal in 1965.

The text of Arts. 13, 14, 23, and 24 of the 1959 Decree-Law is given below, pp. 597-598.

² The State and its credit institutions, investment banks, and savings banks and credit cooperatives are governed by Chapters V, VIII, and IX, respectively, of the 1957 Decree-Law.

ter IX, Exchange Offices (Arts. 86-88); Chapter X, Penalties (Arts. 89-98); Chapter XI, Special Provisions (Art. 99); Chapter XII, Temporary Provisions (Arts. 100-102).

In addition to the State, only the following credit institutions may normally carry on credit activities and other banking functions in metropolitan Portugal; the State credit institutions; the banks of issue (National Overseas Bank and Bank of Angola); the commercial banks; and the special credit establishments. The special credit establishments shall comprise the investment banks, the savings banks, the credit cooperatives, and the General Portuguese Real Estate Credit Company (Arts. 1 and 2).

Auxiliary credit functions shall be exercised by the stock markets, exchange markets, stockbrokers, exchange brokers, and exchange offices (Art. 3).

The carrying on of credit activities by individuals and legal entities other than those listed in Art. 2 may be authorized by regulation (Art. 5 of 1957 Decree-Law).³

Authorization to found commercial banks and special credit establishments in metropolitan Portugal shall be granted by decree, subject to the prior approval of the Minister of Finance and the opinion of the National Credit Council. The Minister of Finance may prescribe in the decree such conditions and terms as he considers appropriate. A commercial company which has been founded without having obtained this authorization may not include in its name the words "bank," "banker," "banking," or any other word suggesting the carrying on of banking business (Arts. 6 and 7).

The Government may, in special situations, permit the merger or reorganization of commercial banks and special credit establishments (Art. 9). The opening of branches, agencies, and any other subsidiaries of credit institutions requires prior authorization from the Minister of Finance (Art. 10).

The opening of new exchange offices is generally not permitted (Art. 12).

The Minister of Finance is charged with the supervision and coordination of the activities of the credit institutions (Art. 13).⁴ In particular, he is responsible for coordinating the volume of

³ Art. 2 of the 1959 Decree-Law corresponds to Art. 3 of the 1957 Decree-Law.

⁴ For the text of Art. 13, see below, p. 597.

credit with the pace of economic activity; for the distribution of credit; for mobilizing savings and channeling them toward economic development; and for regulating the financial market. The Bank of Portugal shall cooperate with the Ministry of Finance in these matters, but it also has special powers and responsibilities under the guidance of the Minister of Finance, namely, the settlement of exchange operations, the currency supply, and the regulation of the money market (Art. 14).⁵

In special circumstances the Minister of Finance may, after consultation with the Bank of Portugal, order the transfer to the Bank (against payment of equivalent amounts in Portuguese currency) of the following liquid assets of commercial banks: coined and bar gold; foreign notes and coins; and specified assets in foreign currency with maturities not exceeding 90 days (Art. 15 and Art. 60(a) and (c)).

The Inspectorate-General of Credit and Insurance is entrusted with the inspection of commercial banks, special credit establishments (except the mutual agricultural credit banks), auxiliary credit institutions, and other individuals and legal entities referred to in Art. 16.⁶

For purposes of inspection, the institutions referred to in Art. 16 are required to submit their monthly balance sheets, annual balance sheets, profit and loss accounts, securities portfolios, and any other data that are considered relevant (Art. 17).

The Minister of Finance shall formulate special rules governing the financial data and information on monetary and exchange matters which are presented in the bulletins and reports of the commercial banks, the special credit establishments, and the auxiliary credit institutions (Art. 18).

Subject to specified exceptions, the commercial banks, the special credit establishments, the institutions engaging in auxiliary credit activity, and the individuals and legal entities other than those listed in Art. 3 may not conclude among themselves contracts or agreements of any nature that tend to create a position of dominance over the money, exchange, and financial markets; and may not acquire their own shares or capital, or the shares or

⁵ For the text of Art. 14, see below, p. 597.

⁶ See also Art. 13, which gives jurisdiction over bank inspection to the Minister of Finance, "except insofar as such competency is delegated by law to another body" (p. 597, below).

capital of other credit institutions (Art. 19). However, the credit institutions are permitted to purchase shares or bonds of other credit institutions or enterprises that are offered for public subscription (Art. 20).

There are no limits to the acquisition and/or holdings by credit institutions of securities issued or guaranteed by the State, provided that the subscription to each issue does not exceed the total capital and reserves of the credit institution concerned (Art. 21). The credit institutions may acquire bonds guaranteed by the State to a maximum of 50 per cent of the total amount of each issue (Art. 22).

The credit institutions shall not charge interest on their discounts and short-term loans at a rate higher than the discount rate of the Bank of Portugal plus 1.5 per cent (Art. 23).⁷

The Minister of Finance may, by order, subject to the opinion of the Bank of Portugal and after consulting the National Credit Council, alter the interest rates established in Art. 23 and set the rates for any other banking operations (Art. 24).⁸

A credit institution may not take part in the management of other credit institutions; however, overseas banking organizations founded under Law No. 2061 of May 9, 1953 and investment banks are exempt from this provision within specified limits (Art. 25).

The administrators, directors, managers, and other officials of credit institutions specified in Art. 26 may not be members of the management of other credit institutions or exercise any functions therein, except as representatives in overseas banking organizations or investment banks (Art. 26). Arts. 27 and 28 contain additional disqualifications for officers and employees of banks.

The members of the board of directors or board of trustees and the managers of credit institutions shall not receive credit in any form from the institution in which they hold these offices (Art. 29).

The members of the board of directors shall be jointly responsible for all acts of their credit institutions that are contrary to the law or to their charters, unless they have expressed their opposition or disagreement to such acts (Art. 31).

The general meetings of banks may not comprise more than

⁷ For the text of Art. 23, see below, pp. 597-598.

⁸ For the text of Art. 24, see below, p. 598.

300 shareholders (Art. 34). The shareholders of Portuguese banks with head offices in continental Portugal who live in any district in the adjacent islands or in any overseas province shall enjoy the rights guaranteed to shareholders residing abroad by Art. 187 of the Commercial Code (Art. 35).

The credit institutions, except the State institutions, shall register with the Inspectorate-General of Credit and Insurance; a newly founded credit institution may begin operations only after registration has been completed (Arts. 36 and 37).⁹

Each credit institution, except the State institutions, shall publish its quarterly balance sheets in the *Diário do Governo*, and its annual balance sheet and profit and loss account, accompanied by its annual report, if any, in the *Boletim de Crédito* and a newspaper of wide circulation in the place where the credit institution has its head office (Art. 39).

Art. 40 provides that the National Credit Council, a consultative organ on the financial aspects of credit policy, shall be under the chairmanship of the Minister of Finance and shall be composed as follows: the President of the Credit and Insurance Corporation; the Governor of the Bank of Portugal; the Governors of the National Overseas Bank and the Bank of Angola; the General Manager of the General Bank for Deposits, Credit and Social Security; the Governor of the National Development Bank as representative of the investment banks; two representatives of the commercial banks; the Inspector-General of Credit and Insurance; one representative of the Ministry of Economy; one representative of the Ministry of Overseas Territories; and one representative of the Ministry of Corporations and Social Security.

The National Credit Council shall advise the Government on any questions submitted to it; propose measures designed to improve the working of the credit system; and publish a report on the credit situation for the preceding year in the *Boletim de Crédito* of the Inspectorate-General of Credit and Insurance (Art. 42). The National Credit Council may, directly or through the Inspectorate-General of Credit and Insurance, request the credit institutions and other specified entities to furnish it any information it needs for the performance of its functions (Art. 43).

⁹ Under Art. 100, existing credit institutions were required to register within 60 days from the date of publication of the Decree-Law (November 12, 1959).

Art. 47 defines commercial banks as individuals or legal entities in private law who have as their sole purpose the carrying on for gain of banking and credit business and who receive as deposits, or in similar form, funds which they use for their own account and at their own risk to grant short-term credit or in other operations which they are legally authorized to carry out.¹⁰

New commercial banks whose offices are in Lisbon or Oporto must have a minimum capital of Esc 50 million; for new commercial banks located elsewhere, the minimum is Esc 20 million; for commercial banks which were in existence on November 12, 1959, the corresponding amounts are Esc 30 million and Esc 10 million, respectively (Art. 48).¹¹

The Minister of Finance shall authorize the issue of bonds by the commercial banks, in accordance with the legislation in effect, but only in special cases and for the productive purposes provided for in plans approved by the Council of Ministers (Art. 40 of 1957 Decree-Law).

Arts. 53-56 deal with "confidential commissions" of commercial banks, that is, functions entrusted to them under special arrangements, such as administering or settling the property of others and collecting credits or receiving interest and dividends for others. The funds involved in these transactions and the resulting liabilities of the banks shall be recorded separately in their balance sheets, and in case of suspension or liquidation of the commissioned institution, its "confidential commissions" may be transferred by the Inspectorate-General of Credit and Insurance to another credit institution.

Commercial banks shall maintain at all times cash assets (consisting of "cash on hand, demand deposits with the bank of issue of metropolitan Portugal, and national development bonds") equal to at least 15 per cent of their sight liabilities (defined for this purpose as "demand deposits and other immediately payable liabilities, plus time deposits and deposits payable at less than 30 days' notice") and equal also to at least 5 per cent of their time deposits

¹⁰ Art. 46 provides that the overseas banks of issue (the National Overseas Bank and the Bank of Angola) shall be subject to the provisions governing commercial banks in respect of their banking activity and credit functions in metropolitan Portugal.

¹¹ Art. 49 prescribes minimum capital requirements for "banking houses" (*casas bancárias*), that is, banks which are not limited companies and for which the minimum capital requirements are lower than for commercial banks proper.

and notice deposits at more than 30 days (Arts. 57 and 58). Sight liabilities not covered by cash assets in accordance with Art. 57 shall be backed by other specified assets (Arts. 60 and 61). The Minister of Finance may, by order, after consulting the National Credit Council, change the cash asset percentages and determine the proportion of cash assets that may consist of national development bonds (Art. 59). He may also, after consulting the National Credit Council, fix the proportion and determine the types of securities which are eligible as cover for sight liabilities (Art. 62).

With regard to guaranteed loans, the maximum amount of credit that may be granted in terms of different percentages of various types of collateral is specified (Art. 63).

Subject to specified exemptions, a commercial bank may not grant to a single entity credit amounting to more than 10 per cent of its capital and reserves (Arts. 65 and 66).

The commercial banks may participate in the capital of any company or buy bonds not guaranteed by the State in amounts not exceeding their reserves plus one fifth of their capital, provided that such participation or purchase does not exceed one fifth of the paid-up capital of the enterprise invested in or one third of the total amount of the bonds issued (Art. 67). However, commercial banks' purchases of shares and bonds as permitted by Art. 68 (in conjunction with Art. 20) may not exceed an amount double the excess of their reserves plus one fifth of their capital over the total of amounts used as referred to in Art. 67 (Art. 68).

The Minister of Finance may, after consulting the National Credit Council, establish by order the ratios to be observed by the commercial banks (*a*) between the amount of their capital and reserves and the amount of deposits and other liabilities to third persons, and (*b*) between the amount of their capital and reserves and the amount of their liabilities for acceptances, endorsements, and guarantees (Art. 71).

A proportion of not less than one tenth of the disposable profits of a commercial bank shall accrue to its legal reserve, until that reserve equals at least 50 per cent of the capital stock of the bank (Art. 72). In addition to the reserves for doubtful credits and other depreciation of assets, the commercial banks shall maintain, independently of the legal reserve, such reserve funds as are pru-

dently considered necessary to meet the risks of depreciation or loss to which certain types of assets are most likely to be exposed (Art. 74).

There are special provisions concerning the accounts and balance sheets of commercial banks (Arts. 75-77). In particular, a commercial bank shall send to the Inspectorate-General of Credit and Insurance monthly balance sheets within 15 days after the end of the preceding month; and, immediately after the closing of accounts for the financial year, the balance sheet, the profit and loss statement, and a list of the securities in its portfolio (Art. 76).

The 1957 Decree-Law contains special provisions on the investment banks, which have as their purpose the granting of medium-term (one to five years) and long-term (more than five years) credit (Art. 45 of 1957 Decree-Law). Investment banks shall have a minimum capital of Esc 300 million, of which 60 per cent shall be in the form of shares registered in the names of Portuguese nationals. The State and the State credit institutions are expressly authorized to invest in the capital of investment banks (Art. 47 of 1957 Decree-Law). The investment banks shall finance their operations from their capital stock and reserves, funds derived from the issue of medium-term and long-term bonds, deposits for more than one year, and funds obtained from international credit institutions, State credit institutions, commercial banks, or special credit establishments; they may also, on terms to be agreed with the Minister of Finance, receive funds from the State for specific development purposes (Arts. 49 and 50 of 1957 Decree-Law).

Provisions relating to savings banks and credit cooperatives are contained in Chapter IX of the 1957 Decree-Law. The savings banks shall meet special requirements, to be set forth in regulations, concerning the degree of their liquidity, the composition of the cover for their liabilities, and the rates of interest which they may charge or pay to their customers (Art. 51 of 1957 Decree-Law). Pension funds and mutual associations, insofar as they function as deposit and credit institutions, shall be considered as having the same status as savings banks (Art. 52 of 1957 Decree-Law).¹²

¹² Under Art. 53 of the 1957 Decree-Law, the mutual agricultural credit banks were to continue to be governed by their own legislation until they were reorganized in accordance with Art. 34 of the same Decree-Law.

Foreign credit institutions which operate, or are about to operate, in Portugal are subject to the relevant provisions of both the 1957 and the 1959 Decree-Law, unless specific rules concerning these institutions have been issued (Art. 78). They must have an authorization from the Minister of Finance to operate in Portugal (Art. 82); but such authorization will not be granted if their charters or partnership agreements contain provisions contrary to the public interest (Art. 55 of 1957 Decree-Law).

The minimum capital of foreign credit institutions is fixed at the same amount as that fixed in Art. 48 for commercial banks (Art. 79).¹³

Foreign credit institutions shall be managed by a board of directors with full powers to reach final decisions and to deal with the State and with individuals in Portugal (Art. 80). At least half of the members of the board of directors, and at least 80 per cent of all the employees of these institutions, shall be Portuguese nationals (Art. 81).

Foreign credit institutions must apply in Portugal the amount of their capital that has been allocated for operations in Portugal, as well as the reserves formed and the deposits received in Portugal. They may, however, maintain as credit balances with their head offices and subsidiaries abroad a total amount not exceeding 10 per cent of their capital; this limit shall not apply to credits representing the deposits of customers in foreign currency and credits which constitute amounts allocated for current operations (Art. 83).

On a reciprocal basis, the Government may prescribe special legal conditions for foreign credit institutions, provided that they are never more advantageous than those which apply to Portuguese credit institutions (Art. 84).

Foreign credit institutions shall use the Portuguese language in keeping their books and for the accounts and notices made available to the public (Art. 85).¹⁴

Exchange offices are generally required to meet such standards as may be established in regard to capital, guarantees, administration, and accounting (Art. 64 of 1957 Decree-Law). The

¹³ See above, p. 592.

¹⁴ Under Art. 101, foreign banking establishments operating in Portugal were given one year from November 12, 1959 to comply with Arts. 79, 80, and 81, Art. 83, par. 2, and Art. 85.

exchange offices¹⁵ may carry out only the following operations: the purchase and collection of coupons; the purchase and sale of foreign notes and coins; and the cash purchase and sale of securities that are listed on the Lisbon and Oporto Exchanges, by order and for account of their customers or for their own account (Art. 86).

Exchange offices located in Lisbon or Oporto are normally required to have a minimum capital of Esc 300,000; those located elsewhere shall have a minimum capital of Esc 100,000 (Art. 87).¹⁶

The exchange offices are required to send to the Inspectorate-General of Credit and Insurance quarterly balance sheets and, immediately after the closing of the accounts for the fiscal year, the annual balance sheet and a profit and loss statement (Art. 88).

Special provisions on "The State and Its Credit Institutions" are contained in Chapter V of the 1957 Decree-Law. The Government is authorized to issue, through the Ministry of Finance, national development bonds, redeemable in from one to five years and the proceeds of the sales of which shall be used for productive purposes provided for in plans approved by the Council of Ministers. The maximum amount of bonds in circulation shall be determined by agreement with the Bank of Portugal and fixed by decree (Art. 31 of 1957 Decree-Law).

The Government shall regulate the medium-term and long-term credit operations—in particular, those involving agricultural and livestock, industrial, and real estate credit—which are within the scope of the State credit institutions, investment banks, and other special credit institutions but which may also, under certain conditions, be performed by the commercial banks (Art. 34 of 1957 Decree-Law).

To reinforce the banking system, the Government shall create a link between the General Bank for Deposits, Credit and Social Security and the Bank of Portugal (Art. 35 of 1957 Decree-Law).

¹⁵ As indicated above (p. 588), the exchange offices exercise, in terms of Art. 3, auxiliary credit functions, and are not credit institutions in the sense of Art. 2.

¹⁶ Under Art. 102, exchange offices with smaller capitalization were given one year from November 12, 1959 to increase it.

ARTICLES 13, 14, 23, AND 24 OF 1959 DECREE-LAW

CHAPTER II. PROTECTION OF CREDIT

Art. 13. The supervision, coordination and inspection of the activities of the credit institutions, as well as of the entities referred to in Article 3 and of such individuals and legal entities as exercise credit functions in accordance with Article 5 of Decree-Law No. 41403 of November 27, 1957, shall fall within the competency of the Minister of Finance, except insofar as such competency is delegated by law to another body.

Art. 14. By virtue of the powers referred to in Article 13, the Minister of Finance shall be responsible in particular for formulating directives and adopting measures with a view to:

- (a) Promoting the coordination of the over-all volume of credit with the pace of economic activity;
- (b) Guiding the distribution of credit in accordance with the requirements of each sector of the economy;
- (c) Furthering the mobilization of savings and guiding them to the financing of economic development, especially through the issue of credit instruments and the action of the institutions that are to use the funds thus obtained;
- (d) Regulating the operation of the financial market.

Par. 1. The Bank of Portugal and the General Bank for Deposits, Credit and Social Security shall cooperate with the Ministry of Finance in the guidance and coordination functions provided for in this Article.

Par. 2. The Bank of Portugal, in its capacity as bank of issue of metropolitan Portugal, shall continue to have the following functions within its special competency, under the guidance of the Minister of Finance:

- (1) Ensuring the settlement of the exchange operations required by the national economy, in compliance with the effective legislation and regulations and with the clearing agreements and bilateral and multilateral payments agreements signed by the Government, or by the Bank with authorization from the Government;
- (2) Promoting, in accordance with the provisions of its Charter and other applicable legislation, the coordination of the currency in circulation with the requirements of economic activity;
- (3) Regulating the operation of the money market.

Art. 23. The credit institutions shall not collect interest on their discounts and short-term loans at a rate higher than the discount rate of the Bank of Portugal at its head office and in Oporto or in the provinces, as the case may be, plus 1.5 per cent.

Par. 1. Any commissions collected shall be considered interest for purposes of the maximum set in the body of this Article. Premiums on the transfer of bills payable in a different market from that in which they were discounted shall not, however, be considered interest for such purposes.

Par. 2. The rates of interest applied in conformity with the present Article need not be reduced and cannot be increased by virtue of a change in the discount rate of the Bank of Portugal during the period in which the operations were carried out.

Art. 24. The Minister of Finance may, by order, subject to the opinion of the Bank of Portugal and after consulting the National Credit Council, alter the interest rates established in Article 23 of this Decree-Law, in Article 37 of Decree No. 10634 of March 20, 1925, and in the Sole Article of Decree-Law No. 27711 of May 19, 1937, and set the rates for any other banking operations.

The Monetary Unit: A Note

The basic monetary unit of Portugal is the escudo.

Coins designated as escudos were minted for the first time under Alfonso V (1438–1481). By virtue of a Decree of May 22, 1911—reproduced in *Legislação do Banco de Portugal* ([Lisbon], 1946), vol. IV, pp. 293–301—the gold escudo, equivalent to 1.625 grams of fine gold, was designated as the monetary unit in the entire territory of the Republic except Goa, and the escudo was divided into 100 equal parts, called centavos.

The Decree of May 22, 1911 has for the most part been superseded by subsequent measures (none of which, however, is in the nature of a basic monetary law) relating to the issue of and specifying the denominations and other characteristics of notes and coins. The texts of these measures are regularly published in the *Diário do Governo* and also in the Annual Reports of the Bank of Portugal.

For additional information on the legal and factual status of the escudo from the fifteenth century through 1949, see René Sédillot, *Toutes les monnaies du monde: Dictionnaire des changes* (Paris, 1955), pp. 168–169.

Par Value. With effect from June 1, 1962, Portugal agreed with the International Monetary Fund on an initial par value for the escudo of 0.0309103 gram of fine gold per escudo or 28.75 escudos per U.S. dollar.

Bretton Woods Agreements Measures

NOTE:—In addition to Decree-Law No. 43341 of November 22, 1960 (the text of which is given below), the principal Bretton Woods Agreements measures relating to the International Monetary Fund comprise the following: (1) Decree-Law No. 43338 of November 21, 1960 granting formal approval for adherence by Portugal to the Articles of Agreement of the Fund; (2) Decree-Law No. 43342 of November 22, 1960, which provides for the amendment of the Charter of the Bank of Portugal and authorizes the Minister of Finance to conclude a contract with the Bank of Portugal in accordance with the bases annexed to the Decree-Law (the text of the bases is given below); and (3) Decree-Law No. 43490 of January 30, 1961 amending Art. 10 of Decree-Law No. 43341 of November 22, 1960.

Decree-Law No. 43341¹

Art. 1. The Government shall be authorized to participate in the International Monetary Fund with a quota of sixty million U.S. dollars of the weight and fineness in effect on July 1, 1944, and in the International Bank for Reconstruction and Development with eight hundred shares to a total amount of eighty million U.S. dollars of the same weight and fineness.

Art. 2. In conformity with Article V, Section 1, of the Fund Agreement, it shall be the duty of the Bank of Portugal, on behalf of Portugal, to deal with the Fund, carrying out the necessary exchange operations specifically as provided in the said Article.

¹ The Decree-Law was promulgated on November 22, 1960 and published in the *Diário do Governo* of the same date. Art. 10 was amended by Decree-Law No. 43490 of January 30, 1961.

This Decree-Law, as amended, was supplemented by Decree-Law No. 46471 of August 7, 1965, and new Bases for the Contract Between the State and the Bank of Portugal were issued under Decree-Law No. 46506 of August 31, 1965, in reference to the increase in Portugal's initial quota in the Fund, US\$60 million, to US\$75 million under Resolution No. 20-6 of the Board of Governors of the Fund; the increase took effect on March 17, 1966.

Art. 3. The Bank of Portugal shall also discharge the obligations arising from Article VIII, Section 5, of the Fund Agreement, for which purpose it shall request the necessary information direct from any public and private organizations.

Art. 4. The Bank of Portugal shall, further, exercise the functions of depository referred to in Article XIII, Section 2, of the Fund Agreement.

Art. 5. By act of the Minister of Finance, the Governor of the Bank of Portugal shall be appointed as Governor to represent the State in the International Monetary Fund. The Alternate Governor shall be similarly appointed, on the proposal of the Bank of Portugal.

Art. 6. It shall be the responsibility of the Ministry of Finance to deal with the International Bank for Reconstruction and Development in conformity with Article III, Section 2, of the Bank Agreement.

Art. 7. The Bank of Portugal, in accordance with Article V, Section 11, of the Bank Agreement, shall be the depository for the escudo holdings of that international institution.

Art. 8. The Governor and the Alternate Governor to represent the State in the International Bank for Reconstruction and Development shall be appointed by act of the Minister of Finance.

Art. 9. In conformity with the Fund Agreement and the Bank Agreement, the two institutions, throughout the territory of the Republic of Portugal, shall possess juridical personality and capacity and shall enjoy the immunities, exemptions and privileges referred to in Article IX of the Fund Agreement and Article VII of the Bank Agreement.

Art. 10. The Governors, Executive Directors, Alternates, officers and employees of the International Monetary Fund and the International Bank for Reconstruction and Development shall be accorded, throughout the territory of the Republic of Portugal, the exemptions, immunities and privileges designated in Article IX of the Fund Agreement and Article VII of the Bank Agreement.

Art. 11. The Governor shall be authorized by the Ministry of Finance:

1. To issue the securities referred to in Article III, Section 5, of the Fund Agreement and Article V, Section 12, of the Bank Agreement, in the circumstances provided for in the said Sections;
2. To enter in the General State Budget the items necessary to meet the costs required by participation in the International Monetary Fund and the International Bank for Reconstruction and Development and, specifically, the costs of interest.

Art. 12. The present Decree-Law shall take effect immediately and shall be applicable throughout the territory of the Republic of Portugal.

Bases for the Contract Between the State and the Bank of Portugal ²

In order to fulfill the obligations of the State resulting from its adherence to the Articles of Agreement of the International Monetary Fund and the International Bank for Reconstruction and Development as referred to in Decree-Laws No. 43338 and No. 43337 of November 21, 1960, there shall be established for the necessary contract between the State and the Bank of Portugal the following bases, in which the first of the Agreements referred to above shall be called "the Agreement."

Base 1. The Bank of Portugal, as the bank of issue of metropolitan Portugal with central banking functions, and in conformity with Article V, Section 1, of the Agreement, shall undertake, as the agency designated for the purpose by the Portuguese Government (fiscal agency), to deal for Portugal with the said Fund, exercising the functions devolving upon it in that capacity and in the terms of the said Agreement.

Base 2. The Bank of Portugal shall, further, undertake to deal for Portugal with the International Monetary Fund as required under Article VIII, Section 5, of the Agreement, for which purpose it shall request the necessary information direct from any public and private organizations.

Base 3. The Bank of Portugal shall, further, undertake to exercise the functions of a depository referred to in Article XIII, Section 2, of the Agreement.

Base 4. The Bank of Portugal shall, further, undertake to ensure that, by means of the credit operations listed below, the State shall have the resources necessary to pay the quota of the said State in the International Monetary Fund, to a total equivalent to sixty million U.S. dollars of the weight and fineness in effect on July 1, 1944.

Therefore:

(a) The Bank, for the account and by order of the State and in its name, shall deliver gold equivalent to fifteen million U.S. dollars of the same weight and fineness, necessary to pay that part of the country's quota payable in gold under Article III, Section 3(b), of the Agreement.

(b) The Bank, also for the account and by order of the State, shall deliver to the International Monetary Fund a total amount in escudos equivalent to forty-five million U.S. dollars of the same weight and fine-

²The Minister of Finance was authorized to conclude a contract with the Bank of Portugal by virtue of Art. 2 of Decree-Law No. 43342 of November 22, 1960, and these bases were annexed to and made an integral part of that Decree-Law. See also footnote 1 to Decree-Law No. 43341, above, p. 599.

ness, representing that part of the country's quota in the Fund payable in Portuguese currency.

(c) If the International Monetary Fund has not initially required the entire escudo equivalent of forty-five million U.S. dollars referred to in item (b) to be delivered immediately, but only a portion thereof, and if, to represent the amount not required, the State exercises the right granted to it under Article III, Section 5, of the Agreement to issue the promissory notes or obligations therein provided for, the Bank of Portugal, for the account and by order of the State, shall deliver to the Fund the escudos representing that portion and shall at sight pay to the Fund at its request the amount of promissory notes or obligations issued by the State, with the understanding that the amount of payments of such securities, plus the portion of the quota referred to above, shall never exceed the escudo equivalent of forty-five million U.S. dollars.

Sole Paragraph. The provisions of item (c) of this base may be applicable, after the opinion of the Bank of Portugal has been obtained, in any other case of issue by the State of promissory notes or obligations as referred to in Article III, Section 5, of the Agreement, when such securities are applicable against the escudo part of the subscription referred to in item (b).

Base 5. In the exercise of the powers granted in Base 1, the Bank of Portugal shall be particularly responsible for:

1. Carrying out, when suitable or desirable, the purchases of foreign exchange described in Article V, Sections 2, 3, 4 and 6, of the Agreement;
2. Carrying out the operations referred to in Article V, Section 7(a), of the Agreement;
3. Fulfilling the obligations arising from Article V, Section 7(b);
4. Paying the charges owed under Article V, Section 8(a) and (b).

Par. 1. The Bank shall use the resources obtained through the purchases referred to in item 1 of this base in conformity with the objectives of the International Monetary Fund.

Par. 2. The Bank shall request of the Government, through the Minister of Finance, its advance approval of the purchases referred to in item 1 of this base, when the escudo holdings of the International Monetary Fund have reached an amount corresponding to the value of the quota of the State in the Fund.

Base 6. The State shall receive the payments referred to in Article XII, Section 6, of the Agreement, and shall pay the charges owed in the cases and in the forms provided for in Article V, Section 8(c) to (f), of the Agreement.

Base 7. Compliance by the Bank of Portugal with the obligations assumed under Base 4 of this contract shall *ipso facto* transfer to that Bank the proprietary rights of the State referred to in Article III, Section 4(b); Article IV, Section 8(c); Article XV; Article XVI, Section 2; and Schedules D and E of the Agreement, insofar as necessary, on account of the said transfer of rights, for payment to the Bank of the amount actually disbursed, account being taken, for the determination of such amount, of the total amount delivered by the Bank under Base 4 and the proportion set forth in Base 4 between utilization by the Bank of the resources of the International Monetary Fund under Base 5, items 1, 2 and 3, and utilization by the Fund of its holdings of national currency.

Base 8. Within six months from the date of payment referred to in Base 7, the State shall pay to the Bank of Portugal the amount of its claim which the transfer of rights effected under that base may not cover.

Base 9. Without prejudice to the provisions of Bases 7 and 8 in respect of the reimbursement of the Bank of Portugal, it shall be established that the part of the claim of the Bank representing the disbursement of gold shall be advanced to it by the State in gold, as soon as the Bank is no longer able to carry out the purchase of foreign exchange provided for in Base 5, item 1, this advance being taken into account for purposes of the payment referred to in Bases 7 and 8.

Sole Paragraph. In determining the value of the gold disbursed by the Bank of Portugal as referred to in the present base, account shall be taken of the amount of the gold delivered by the Bank under Base 4(a) and the proportion of such amount represented by any excess shown in the amount of utilization by the Bank of the resources of the International Monetary Fund in foreign exchange operations under Base 5, items 1, 2 and 3, in relation to the amount of utilization by the Fund of its holdings of national currency.

Base 10. The State shall pay to the Bank of Portugal any losses sustained by the latter in carrying out the operations referred to in Bases 1 and 5 of the present contract.

Base 11. The Bank of Portugal shall undertake to turn over to the State any profits it obtains from carrying out the operations referred to in Base 10.

Base 12. The State shall pay to the Bank of Portugal annually, as of December 31 of each year, a commission of $\frac{1}{8}$ per cent of the equivalent of the gold delivered to the International Monetary Fund under Base 4(a), and of the average value of the escudo holdings of the Fund not represented by promissory notes or obligations of the Portuguese State issued as provided in Base 4(c) and in the Sole Paragraph of that Base; this commission shall in no case be paid on any excess over the full equivalent of the quota of the State in the Fund.

Base 13. The Government shall appoint the Governor of the Bank of Portugal as Governor to represent the country in the International Monetary Fund.

The Alternate Governor shall be appointed by the Government on the proposal of the Bank of Portugal.

Base 14. The Bank of Portugal shall undertake, in conformity with Article V, Section 11, of the Articles of Agreement of the International Bank for Reconstruction and Development, to exercise the particular functions of depository of the escudo assets of the latter Bank.

Base 15. Clauses 13 and 14 of the contract of June 29, 1931, as worded in the contract of April 3, 1946 and in the contracts of October 31, 1951 and October 26, 1960, shall be amended as follows:

Clause 13: Par. 7 shall henceforth read as follows:

"Par. 7. Commitments and liabilities of the Bank falling due in not more than one hundred and eighty days, expressed in foreign currency or in units of account used in international clearing, shall be deducted in calculating the reserves."

Clause 14: The following shall be added to the values referred to in this clause:

"Credits resulting from operations permitted under Article 30, item 11, of the Charter of the Bank."

The following paragraph shall be added to the same clause:

"Sole Paragraph. Credits resulting from operations permitted under Article 30, item 11, of the Charter of the Bank, when expressed in gold, shall be recorded at the value corresponding to the quantity of gold delivered by the Bank for the account and by order of the State, according to the relationship set in Article 2 of the contract of September 1, 1949 between the State and the Bank, with such changes as have been made in the relationship."

Bibliographical Note

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RELATED LAWS

BILLS OF EXCHANGE AND CHECK LAW

Código comercial (Commercial Code) of 1888. Livro Segundo, Título VI, Das letras, livranças e cheques (On bills of exchange, promissory notes and checks), Arts. 278-343. Decree No. 26556 of April 30, 1936 constitutes the legal link between the Geneva Conventions of 1930 and 1931 and the relevant provisions of the Commercial Code. For text of the above-cited Title VI see, for example. João de Deus

Pinheiro Farinha, ed., *Código commercial português* (Lisbon, 1963), pp. 195-217. See also section entitled "Portugal" (text in Portuguese and German) in Schettler and Büeler, *Das Wechsel- und Scheckrecht aller Länder* (Cologne, 1957—, loose-leaf), for the text in Portuguese and German of the above-cited provisions of the Commercial Code and related measures.

Lei uniforme relative às letras e livranças (Uniform Law on Bills of Exchange and Promissory Notes) of March 29, 1934, approving the Geneva Convention, 1930, on the subject and incorporating it in the internal law of Portugal; for text see Farinha, *op.cit.*, pp. 537-597.

Lei uniforme relative ao cheque (Uniform Law on Checks). Decree-Law No. 23721 of March 29, 1934 approving the Geneva Convention, 1931, on the subject and incorporating it in the internal law of Portugal; for text see Farinha, *op.cit.*, pp. 599-624. See also section entitled "Portugal" (text in Portuguese and German) in Schettler and Büeler, *Das Wechsel- und Scheckrecht aller Länder* (Cologne, 1957—, loose-leaf), for the text in Portuguese and German of the above-cited provisions of the Commercial Code.

COMPANY LAW

Código commercial (Commercial Code) of 1888. Livro Segundo, Título II, Das sociedades (on companies), Arts. 104-223. For text of these provisions see Farinha, *op.cit.*, pp. 85-167.